

Berger Paints India Ltd. (BERGEPAINT)

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"Berger Paints India Limited
Q2 FY25 Results Conference Call"
Nov 05, 2024

MANAGEMENT : MR. ABHIJIT ROY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – BERGER PAINTS INDIA LIMITED
MR. KAUSHIK GHOSH – VICE PRESIDENT AND CHIEF FINANCIAL OFFICER – BERGER PAINTS INDIA LIMITED
MR. SUJYOTI MUKHERJEE – VICE PRESIDENT FINANCE AND ACCOUNTS – BERGER PAINTS INDIA LIMITED
MR SAYANTAN SARAKR- GENERAL MANAGER-FINANCE & ACCOUNTS

MODERATOR: MR. NITIN GUPTA – EMKAY GLOBAL FINANCIAL SERVICES

Transcript

Nitin Gupta
00:00:09

Good evening, everyone. This is Nitin Gupta from Emkay, Global.

■ I would like to welcome all to the Q2 FY25 Results Conference call of Berger Paints India Limited.

■ I thank Berger Paints Management for allowing us to host.

■ We have with us today Mr. Abhijit Roy, Managing Director and CEO,

■ Mr. Kaushik Ghosh, CFO.

■ Mr. Sujyoti Mukherjee, Vice President, Finance and Accounts.

■ and Mr Sayantan Sarkar GM- Finance and Accounts.

■ I shall now hand over the call to the management for opening remarks post which we will proceed with Q&A session

■ over to you, gentlemen.

Sujyoti Mukherjee

00:00:46

Thank you, Nitin.

■ And a very warm welcome to ladies and gentlemen.

■ and we also convey our festive greetings to you.

■ Welcome to Berger Paints India Limited.

■ Q2 FY 25 Earnings call.

■ The management presentation has already been circulated, and it is already updated in the website.

■ I would request Mr. Roy, our MD. and CEO, to walk you through this presentation.

■ followed by your questions.

■ So over to you, Mr. Roy.

Abhijit Roy

00:01:22

Thank you, Sujyoti, and good evening to all of you.

■ and a belated, happy diwali

■ I'll take you through the quarter. 2 results

■ top line was muted as you would have seen, remained almost flat on a year on year basis

■ impacted by extended monsoon and flooding in some key markets.

■ However, some traction was seen at the fag end of the quarter towards the end of September.

■ We believe that we have continued to gain market share in quarter 2. In spite of the muted performance

■ product price increase of about 2.3% undertaken in the quarter

■ highest gross margin of 40.4% in the stand alone, and 41.7% in Consolidated in the last 10

■ operating margin, remained within the guided range of 15 to 17%,

■ and Company continued to maintain his net cat. Positive position at the end of the quarter

■ volume growth for quarter 2 3.6% on a half yearly basis at 7.8%

■ value growth 0 point 4% negative.

- almost flat and 1.1% positive on a half yearly basis.
- The company recorded single digit volume growth.
- There were 2 major impacts, unusually extended monsoon
- and excessive rains and flooding in many parts of our key markets
- like Andhra, Kerala, West Bengal, Gujarat, and Maharastra
- sales picked up towards the last part of September
- volume Value Gap.
- which existed because of the price drop which had happened last year
- was partly mitigated through product price increase undertaken in this quarter
- an improvement in product. Mix especially greater sales of premium and luxury products
- and much lesser sale
- of basic products like patty distemper.
- protective and infrastructure, business recorded good growth in the quarter
- on a standalone basis
- on a half yearly basis. If we look at it, volume sales growth 2 year Cagr is 9.8
- 3 year is 14.5
- and 4 years is 19.5%.
- If we look at the value sales, Cagr percentage
- 2 year 3.8 3 year is 13.8, and on a 4 year basis. It is 22.2%.
- So the volume value gap as you look at it on 3 and 4 year basis 3 year is very close to each other 4 year. In fact, value growth is slightly higher.
- It's only in this last 2 years, due to the price drop that the volume value gap has gone up
- which will start winning off in quarter 3 and quarter 4
- maintained strong compounded growth consistently over the past 3 to 4 years.
- The last 2 years volume growth has been moderately okay, but value growth
- because of the price drop. I've been suffering
- highest gross margin in the last 10 quarters.
- 40.4% was registered. As you can see, we were hovering around 35, 36 earlier, and then then it went up to 39 40.
- We have been at that point, and this quarter too slightly ahead of everything, you know. 40.4%.
- Last year quarter 2 was at 40%
- now.
- The gross margin expanded in spite of the price decrease, impact
- on the back of improvement in prod

ucts. Mix in the quarter. As I mentioned, double digit volume, growth in premium and luxury products

- and flat or a degrowth in mass products like putty, distemper, primer and enamel.
- sustained improvement in margin of industrial business
- on account of
- raw material price. Drop also helped in improving the gross margin.
- Operating margin was lower on account of higher manpower addition
- for urban initiatives which we have taken up.
- and construction, chemical and waterproofing business. This is an investment which we have made, and which will come out very useful for us in the coming quarters.

Conscious call to maintain higher advertisement spends as well.

- Operating. Margin, however, remained
- in the band of 15 to 17% as guided earlier.
- So operating margin, as you can see
- on an average, was been hovering between 15 and 17. There's 1 aberration of 18.8, and then another one on the lower side at 12.9,
- but otherwise it is in that range.
- And this time, too, it was at 15.8%.
- As I said, though the gross margin was high, we did spend on increased manpower cost.
- Conscious call has been taken where we have added some, you know, manpower for business growth in the future.
- and at the same time advertisement expenses were maintained at a good level.
- Financial results. Quarter 2.
- This is how it stands. Sales growth minus 0 point 4 Vbdt, minus 4.9
- and Pvt at minus 5.9 pat at minus 6.1
- ytd
- at 1.1% growth.
- Pvd at minus 5.4 and pat at minus 6.3
- decorative business for quarter, 2 recorded single digit volume growth affected by the weather conditions.

- Premium segment did well in the quarter
- construction, chemical and waterproofing and wood coating products had a robust performance.
- Mass consumption products are either flat or negative growth rate.
- Aggressive network expansion continued.
- we added 2,200 retail touch points
- and installed more than 2,000 color bank machines. In this quarter
- differentiated products.
- We have a large range of this now anti-dust, easy, clean silo, prime.
- long life.
- long life, 15 long life, Flexo.
- waterproof putty.
- and a new one, which we have added roof, cool and seal. All of them did very well registered, strong double digit growth
- that has helped us also to improve our margin overall.
- In the construction chemical category
- we have added a few more products.
- The range is being constantly expanded. We now have almost a full portfolio, almost 80 85% of the major products in the construction chemical range we have already introduced.
- and we will continue to fill the rest of the gaps as well
- in terms of media. As I said, we continue to spend
- reasonably well, both in television and also digitally.
- mostly in digital media. We, you know, spent heavily on express painting, lead, generation, etcetera.
- on the
- television front. We had, you know, major advertisements on anti dust, easy, clean, and then roof coolant seals
- the new initiative for the urban markets which we have taken. You know the urban initiative that I have mentioned. We added manpower.
- and a new team is in place from the month of August onwards. You know, this has been, fully operational
- to increase our focus on the urban markets.
- Various strategic changes won't. Stores, franchises, store
- lot of project work related. Manpower has been added, have been initiated to improve brand visibility and penetration.
- The results will be visible in the coming quarters.
- Industrial business.
- protective coating business continued its good performance
- with a double digit volume growth
- and a mid single digit value growth for the quarter
- automotive, general industrial and powder coating business line at a flat growth
- on the back of suppressed demand from 2 wheelers and commercial vehicle for quarter 2
- and home appliance industry. In October, of course, the 2 Wheeler industry did much better, and th

e growth was restored in automotive

- net cash.
- March 24. We had begun with 3, 41. We had gone up to 6, 92. Then we had a lot of dividend outflow
- of about 400 plus crores, and
- now, in September 22, we are at 242 crore
- October collection has been very good, and we expect that the net cash position will improve substantially by end of December.
- Financial results for consolidated for quarter 2,
- total income from operations 0 point 3%
- and pat at minus 7.9 operating profit minus 8.3
- on a Ytd basis. Total income from operations, 1.2% operating profit minus 7.2 pat at minus 3.7
- Consolidated performance in Poland had a robust top line growth in the quarter. However, profitability suffered on account of certain one off costs on project business
- in the 3rd quarter that will not be there, so there will be possibly a good strong double digit
- value growth and a profit growth in quarter, 3
- companies overseas. Subsidiary Bj. And Nepal had another quarter of degrowth, both on top line and profitability. As the credit crunch in the economy continued.

■ however, the cash flow has improved significantly towards the end of the quarter, and we expect substantially better performance in quarter 3. In fact, last month we had a double digit value growth

■ and the coming current month. Because of the low muted base, we will have substantially higher growth, probably in the tune of 40 to 50% growth in Nepal. So

■ we should have a good equation as far as Quarter 3 is concerned. In Nepal

■ Company. Subsidiary Stp had a quarter of

■ soft top line growth, however, profitability suffered on account of

■ higher raw material cost, and some of the one off items

■ in employee cost which we took in quarter. 2

■ sbl speciality coatings had a marginal degrowth in top line, due to deterioration in the mix.

■ expecting better growth in coming quarters.

■ The joint venture Berger Becker coatings had a healthy growth both on top line and profitability on a muted base

■ company's joint venture. Berger Nippon Paint automotive coatings had a small top line growth and a robust profitability growth, aided by gross margin, expansion and cost, restructuring

■ the business outlook.

■ decorative business likely to show better growth in second half on the back of Uptick in demand, sentiment and channel inventory reduction.

■ As presently seen.

■ the volume Value Gap is expected to decline in quarter 3

■ through price increases implemented in quarter 2 to the tune of almost 2.5%,

■ coupled with the meaning of price decrease impact taken in November last year.

■ further improvements can be seen in quarter 4. Once the impact of price decrease, taken in January 24 is negative

■ moderation of inflationary trend, post, normal monsoon

■ likely to shore up rural demand.

■ Urban initiative program taken by us to shore up volume growth in the urban areas

■ in quarter 3 and quarter 4.

■ Industrial business outlook seen better

■ on the back of increased government, spending on infrastructure post State elections.

■ Auto, especially 2. Wheeler, is also looking up.

■ Both Nepal and Bullix

■ is likely to deliver strong double digit sales and profit growth. In Q. 3.

■ Some impact of raw material price decrease will show in q. 3. On account of the inventory effect.

■ improving profitability marginally

■ overall business prospects look encouraging.

■ Geopolitics may pose some risk, though.

■ thank you. And we can then go to the question and answers.

■

Nitin Gupta

00:14:35

Thanks, Abhiji, so we will now start with Q. And a session.

■ I hand over the call to my colleague, Pinky Matho

■ Q. And a session over to you, Pinky.

■

Pinky Mahato

00:14:46

Thanks, Nitin.

■ Those of you who have questions can raise your hand. We will announce your name and unmute your line also, which you can ask questions, please highlight your full name and the organization you are representing.

■ The 1st question is from th

e line of Anirud Joshi, please go ahead.

■

Aniruddha Joshi

00:15:17

Hello!

■

Abhijit Roy

00:15:18

Yes, it is.

■

Aniruddha Joshi

00:15:19

Yeah. Thanks. Thanks for the opportunity, sir. Anirudh Joshi from Icici. Security is here.

■ Sir. The question regarding now, we have seen one of the Mnc. Player in paint industry.

■ Has, its parent has kept the India business

■ to sell so what will be budget strategy in this case. Whether the acquisition will help strengthen the market shares, or we are seeing some of the non paint players also bidding for that. So if something like that happens, then the

■ competitive intensity might go up further. So question number one, what is the strategy of Berger? In this regard, and question number 2 is now we are at the peak

■ gross margin. Now in a sector where the competitive intensity is rising with almost every quarter now.

■ So we are operating at such a high margin. So in a way, it's it's literally an easy invitation for competition to

■ in a way gain some market share, spoke margins from us. So what are the

■ thoughts on these 2 things from the management. Yeah, that's it from my side. Thank you.

■ So thank you.

■

kaushik ghosh

00:16:41

Think this is.

■

Abhijit Roy

00:16:42

Commute.

■

kaushik ghosh

00:16:44

Some of my ideas is- is- is.

■

Abhijit Roy

00:16:51

Yeah, better

■ so, anuro. They know. To answer your 1st question about what can we do about exhaust? 1st of all, you know.

■ Axio has not made his intention clear as event, you know, as to what they want to do. In the 1st place.

■ whether they want to sell the decorative part of it, whether they want to sell the whole part of it, whether

■ you know they want to do mergers or joint ventures. You know, it's all

■ up in the air as of now.

■ they being a very professional company, I'm sure you know.

■ They will come out with the full disclosure and what they want to do.

■ Once that is clear, we will make up our mind as to how to react to that situation as of now. I think it is very premature to say anything. There's a lot of speculation going on.

■ This fellow will buy. That fellow will buy, but there is no surety

■ as to what is to be put on the table, and unless that is clear, I don't think anyone has got a clarity as to what needs to be done.

■ They have only made a statement that it can be any of these possibilities.

■ We have to wait for the final, you know, shape

■ to emerge, and only then we can take a call.

■ as far as the second question is concerned, on the gross margin front

■ the paint industry has always been very, very competitive.

■ you know. Earlier, too. You know, there has been intense competition both from foreign and local players.

■ And we have.

■ you know, seen this happening, you know whether it is paint or any of the Fmcg category. The margins have been always gross. Margins has been reasonably comfortable in India.

■ The leaders always command, you know, sort of a premium in the market, and we are able to maintain the gross margins.

■ We believe that we should be able to therefore carry on with our margins. In fact, we will try our best, not only to retain, but to improve further on this

■ by launching more and more differentiated products and making them more successful.

■

Aniruddha Joshi

00:18:59

Yeah. Understood, sir, this is

■ very helpful. Yeah, thank you.

■

Abhijit Roy

00:19:04

Thanks.

■

Pinky Mahato

00:19:08

Thank you. Next question is from line of Aditya Bharthya.

■ Please go ahead.

■

Aditya Bhartia

00:19:24

What you spoke about.

■ Hello!

■

Abhijit Roy

00:19:27

Yes, Aytha, carry on, please.

■

Aditya Bhartia

00:19:30

So my 1st question is on the urban initiatives that you spoke about. Firstly wanted to understand what was the need or the rationale of undertaking any changes in our urban strategy.

■ And, secondly, what exactly are we doing? You mentioned some own stores as well as franchise store

s? So so if you could just kind of throw some more color on that.

■

Abhijit Roy

00:19:52

Yeah. So you know, these urban markets? Specifically more so in the key Metros.

■ we have had a very weak presence. You know our overall share, maybe around 20%.

■ But in these major metros our share hovers around 10%

■ like Bangalore, Mumbai, Pune, Ahmedabad Chennai, Hyderabad, you know, these are markets where you know it's completely dominated by the leader currently.

■ And there is a lot of therefore, possibility of growing. This is a pretty large size market.

■ The key markets alone has about 15,000 crore potential

■ and we are barely scratching the surface with, about, you know, 1,400 1,500 crore of sale.

■ The objective is to have a much higher presence, you know, in these markets, if we in other markets, in up country and in smaller towns we can have a good share. There is no reason why, you know we cannot have a

■ better share in these urban markets. Now, it's been a difficult one, you know, because

■ these markets, you need distribution. You need contractors, you need, you know, equation, build up with the builders, etcetera.

■ And therefore, that needs a special focus. So we have got a separate team. Now, 1st of all, you know, to cater to this requirement, so that

■ you know, the tendency is that you know, if you get higher sales in the upcountry markets.

■ yeah, focus shifts in that direction because this is more difficult, and hence the team tends to focus on the upcountry markets rather than on the urban market. So we have separated them completely, so that you know the focus comes on to the urban markets because their life and death depends on the success of their urban performance.

■ The second is the strategy change, because urban market requirements are quite different. If you look at any of these cities, whether it is Bangalore or Mumbai, or you know, Hyderabad, it is all multi-storied buildings. There are no houses of individuals as such, and so, therefore, the strategy is quite different, for these markets, which are required to be implemented on the ground compared to residential houses and bungalows in the upcountry markets.

■ So the strategic change calls for a different type of a thinking as well, and and therefore the go to market strategy differs. Which is why I said that you know there will be stores, etc. Which will be there in these urban markets.

■ We have initiated some of these changes already, and we should see positive action on this and positive results coming out of it in the quarter 3, partly, and quarter 4 slightly more

■ going forward, we will persist and continue to, you know, strengthen our presence in the urban markets.

■
Aditya Bhartia
00:22:42

Understood, sir, that's very, very helpful. My second question is that you had spoken about some one off costs, especially in international subsidies. if you could just spell out, what exactly did they pertain? To? What kind of projects are we speaking about? And what could be the quantum.

■
Abhijit Roy
00:23:01

So this was, you know, in the bullik subsidiary that we had in Uk. You know, there was a project which was going on in which, partial completion of the job had happened. We had booked that

■ in terms of revenue, you know, and then there was a little bit of a dispute with the party concerned. And hence the partially booked revenue had to be reversed.

■ That part. You know once that we are very sure, or rather rather hopeful, that this will get resolved very soon, and once that happens, you know, we will get back our revenue again.

■ So that's how it happened.

■
Aditya Bhartia
00:23:39

Understood, sir, could you also quantify the number.

■
Abhijit Roy
00:23:44

Which was about 12 pros, you know, which was, you know, booked, you know, at that point of time. So not very meaningful. But you know, from the console. It makes an impact.

■
Aditya Bhartia
00:23:54
Sure, sir.

Helpful. Thank you so much.

■
Pinky Mahato
00:24:06

Thank you.

■ Next question is from line of Mihir Pisha. Please go ahead.

■
Mihir P Shah
00:24:12

Hi, sir, thank you for taking my question. I hope I'm audible.

■
Abhijit Roy
00:24:15

Yes, you are mute.

■
Mihir P Shah
00:24:17

Hi, sir, this is mihiriya from Nomura so, firstly, on the demand environment.

■ you know, post the you know, heavy monsoon, etc. How are you seeing the demand environment shaping in the coming quarters for the 3rd quarter and 4th quarter? Would it be fair to say that double digit volume growth is in is still a target that we would be trying to.

■ You know, gun for. And maybe it's in an achievable range, a double digit volume growth.

■
Abhijit Roy
00:24:49

May, you know, to answer your question. You know we see it improving in quarter 3

■ and quarter 4. It will be improving further, so as far as quarter 3 is concerned.

■ we will be possibly be close to the, you know, double digit volume growth rate.
■ My expectation is between 7 8% to 10% anywhere in that range
■ for the volume growth.
■ And in the 4th quarter there will be definite double digit volume growth, which will happen
■ as of now half yearly. We are sitting at about 7 point something percentage, you know, near about 8 percentage. You can say in terms of volume growth.
■ and I think if we do well in the 4th quarter, as I envisage we should be doing, we should be very close to the double digit volume growth rate at the end of the year.
■ As far as value growth is concerned. As I have indicated, you know, in the quarter 3 there will be some relief from the 5%. 6%. You know, backlog that we were having because of the price drops
■ and 2 and a half percent of price increase plus about 1%, which will happen because of the price decrease effect going away. So we will bridge this 5, 6% to about 3 and a half, 4%, so 2% gap will still remain between the volume and the value in quarter 3
■ and in quarter 4 value should be 1% ahead of the volume growth.
■ So, therefore, the value growth will consistently improve in quarter 3, and then further in quarter 4.

■
Mihir P Shah
00:26:27

Got it, sir, understood

■ so, secondly, on the exit of Exxonobil. And now, you know, with the entry of
■ Grassim, you know, so it seems to be, there is a balancing off that is happening.
■ How can one assume that this is a positive move, you know, and the fear of competitive intensity impacting the entire paints. Yes, I mean, normal competition will be there.
■ But you know that. you know, the the disruptive competition
■ that was expected is no longer visible, I mean, did you see any disruptive competition in the festive
■ you know? And so so would we. Would one say that with the exit of Exo now one can safely assume that the fear of you know extreme competitive intensity can be behind.
I mean, would you read it in that way.

■
Abhijit Roy
00:27:16

I think you know that fear is, you know.

■ built up too much in, I would say in the minds of you know the analysts much more
■ I do not see that, you know, as a big fear existing. Yes, there is competition, intensity, will, and has gone up a little bit.
■ but that was expected, and you know, with exo, you know, announcing that, you know, they may look at an exit. It's not very clear as of now, as I had mentioned earlier.
■ Unless they clarify what they want to do, we don't know for sure what they are up to.
■ But overall one player has come if another player goes away. So we are back to the normal levels of 4 major players in the marketplace
■ one getting replaced by another
■ the competition would have been there. But you know, as I had always, you know, insisted that the impact won't be so
■ high that you know it will be disruptive for the industry.
■ It's a healthy good competition
■ keeps you on your toes helps you to improve as well.
■ So I would look at it from that perspective.

■
Mihir P Shah

00:28:34
Got it. Thank you very much, sir, wishing you all the very best.

■
Abhijit Roy
00:28:38

Thank you, mate.

■
Pinky Mahato
00:28:40

Thank you. Next question is from line of Marin mei. Please go ahead.

■
Mrunmayee

00:28:49

Hello! Hi, sir! I hope I am audible.

■

Abhijit Roy

00:28:51

Yes, you are.

■

Mrunmayee

00:28:53

Yeah, Hi, this is intermediate. So, sir, my question was regarding the urban initiative. So is there any specific target attached to it like any you know, number of dealerships that you would like to reach, or any timeline with respect to this. And the second question being

■ that the increase employee cost with respect to this. Can you quantify the impact of that.

■

Abhijit Roy

00:29:19

So what we are planning to do is, you know, we are currently at around 10%, you know, in terms of market share in that particular urban zone. If you look at it.

■ we want to improve it in the short run to about 12.12 and a half percent.

■ and in 2 and a half to 3 years. You know, we should be around 15% in these markets. That's our, you know, to gain a little bit of share. First, as you know, in 3 years time frame reach at least at around 15% in these urban markets.

■ So that's 1 part, you know. So that is what we aim to do.

■ as far as manpower is concerned. For all of these markets we have put in manpower there. I know both managers and on the ground field off role. Also, some of them will get added. As time progresses, more investment will be made in manpower in these markets, so as of now. It's difficult for me to quantify exactly, because that figure will keep changing as the months progress.

■

Mrunmayee

00:30:20

Okay, sir. Got it. Thank you.

■

Abhijit Roy

00:30:22

Right.

■

Pinky Mahato

00:30:25

Thank you. Next question is from line of Karthik Chalapa.

■ Please go ahead.

■

Karthik Chellappa- Indus Capital Advisors HK Ltd

00:30:31

Yeah. Good evening, sir. Am I audible?

■

Abhijit Roy

00:30:34

Yes, you are, Karthik.

■

Karthik Chellappa- Indus Capital Advisors HK Ltd

00:30:35

Okay, thank you very much for the opportunity, sir. 3 questions. The 1st question is, this quarter. The premium and luxury have actually grown double digit, and they naturally carry higher realizations

■ despite that the volume to value gap is still about 4% odd. So I'm just trying to get a sense of the degree of decline in. You know the distempers, enamels, and the degree of price cuts there, because I would have thought that this favorable mix would have narrowed the gap even further. That's my 1st question, sir.

■

Abhijit Roy

00:31:08

Okay.

■ So yes, you know, you're right, Karthik, you know.

■ this. Actually, if you look at it last quarter. The gap was very high, much higher than even, I think 7% plus was where we were. And therefore that has got narrowed down to 4% a part of it is, 1% is coming out of the price increases. That we have taken this quarter to

■ the rest is primarily due to the mix change which has happened right? So there has been a mix change, and that is why that is why the gap has narrowed. This will narrow further in quarter 3. Because, furthermore, you know, impact of the negative impact of price decrease. Part of it will go away, and the full impact of the price increase of quarter 2 will come into play, we will still have a gap of about 2% between the volume and the value in quarter 3,

■ which will reverse in quarter 4, we will get a positive impact in quarter 4 between volume value with about 1% value growth higher than the volume growth rate.

■

Karthik Chellappa- Indus Capital Advisors HK Ltd

00:32:08

And, sir, your underlying assumption in all this is the economy. Segment volume continues to remain challenged. Right? It's just that the mix improves and the price increase annualizes, and so that becomes a favorable base.

■

Abhijit Roy

00:32:21

It's a choice we have exerted, Karthik, you know. So it depends on the c

ompetitive

intensity and pressure on pricing of especially items like party

■ where we have deliberately. You know, we have gone negative in 30 this quarter.

■ Because we found the prices very challenging and unnecessarily so.

■ And therefore, you know, we stayed away from negative gross margin.

■ Wherever you know, in whichever markets that was happening. So that is why we we suffered a little bit, but that is something which is dependent on whether this will continue in the future. If it doesn't, then possibly we will have little better performance in some of these basic products.

■

Karthik Chellappa- Indus Capital Advisors HK Ltd

00:33:05

Got it. Thank you very much. So my second question is the observation made in the presentation that we believe we have gained share in the second quarter. I'm just curious to understand how you have actually computed that market share, because, you know, the grassim numbers are not yet clearly available in the public domain.

■ and the market leader is also yet to report. So I'm just curious to understand the background of this observation.

■

Abhijit Roy

00:33:31

This is a you know, market feedback that we keep taking, you know, from various. You know, we have our own way of getting it.

■

Karthik Chellappa- Indus Capital Advisors HK Ltd

00:33:40

Okay.

■

Abhijit Roy

00:33:41

And so suffice it to say that you know you will see the results. Of course, you know, when when it comes out

■ my understanding is that you know, in terms of top line we would have done better than you know most of the companies. At least you know the industry. Whatever is the average, you would have done better than that.

■ and that will give us a market share gain.

■ As far as Grassim is concerned. We are not considering them as as of now in the entire Kitty. Because you know that share is as of now small, you know. So.

■ Of course, you know, we have a fairly decent idea of how much they have done. Possibly.

■ So that's something, you know, which will impact, but not so much as of now.

■

Karthik Chellappa- Indus Capital Advisors HK Ltd

00:34:31

Got it. My last question, sir, is on a year on year basis. What was the increase in the

headcount.

■

Abhijit Roy

00:34:39

Well, exact number is not we clear, but the the overall manpower growth has been budgeted at about 1718% growth, you know. So that's substantially higher than normally what we do.

■

Karthik Chellappa- Indus Capital Advisors HK Ltd

00:34:50

Correct. So I'm just trying to get a sense of how much of this is pure.

■

Abhijit Roy

00:34:53

Out of that. 8 to 9% is, you know, incremental growth, you know, which means, you know, about, you know, which we give us increments, etc. And the 8 to 9% is an addition of manpower.

■

Karthik Chellappa- Indus Capital Advisors HK Ltd

00:35:06

Okay, excellent, that's all. From my side, sir. Wish you all the best for the remaining quarters.

■

Abhijit Roy

00:35:10

Thank you.

■

Pinky Mahato

00:35:13

Thank you. Next question is from line of amit purohit.

■ Please go ahead.

■

Amit Purohit

00:35:20

Yeah, thank you very much, sir, for the opportunity. Am I audible.

■

Abhijit Roy

00:35:24

Yes, Amitivar, go ahead.

■

Amit Purohit

00:35:26

Yeah. Amit here from Ellara securities. Now, sir. Just one on the overall industry trend like you highlighted the Q 2 you would have done. But what would have been the industry, growth either in volume or volume? What's your best estimate on this.

■

Abhijit Roy

00:35:43

See, my guess estimate will be, you know, it will be probably around minus 1 1.5% overall for the industry

■ in terms of value. Growth

■ volume is anyone's guess, you know, because those are.

■ It depends on the mix of products that you have.

■ If you sell a lot of patty and tile adhesive and products like that. The volume growth can go up. But that's

■ not the way of looking at it. I think it better to focus on the value gr

owth.

■ And I think you know that's the reported number as well. And and that's something which I'm

■ you know, saying that you know, that's probably going to be around that point.

■

Amit Purohit

00:36:22

Sure. And, sir just on your comment that you've seen some pickup now, in the October month any regional trends you would like to highlight in Q 2. Or and now

■ is there any divergence in growth? Whether south, west, north if you could highlight

that.

■

Abhijit Roy

00:36:41

So you know, east, which was underperforming a bit, has bounced back a bit in the month of October.

■ Parts of south in. For example, Kerala, you know we did fairly well.

■ and that's because the bases are low. From October onwards in Kerala last year the basis started, you know, slipping from October so we are likely to continue to grow a bit in that market. These 2 are important markets for us, so it will have a positive impact as far as we are concerned.

■

Amit Purohit

00:37:15

And at an industry level would. The is suffice to say that the growth is picked up across regions or there will be some divergence in growth.

■

Abhijit Roy

00:37:23

No, there will be some divergence, I think. You know some places are still little bit struggling.

■ but some other places, you know, it has picked up.

■

Amit Purohit

00:37:32

So would that reason which are struggling would be is it south or west? Or how does one thing generally, just to get a sense sorry what to.

■

Abhijit Roy

00:37:41

No part parts of you know, like Andhra Pradesh and Telangana, still little bit under performance going on there in those locations

■ primarily in the south and the West, you know where Gujarat still little bit underperforming.

■ but otherwise yes, you know, other places are reviving.

■

Amit Purohit

00:38:01

Okay, and that would be largely to do with the rainfall which has continued like.

■

Abhijit Roy

00:38:05

Yeah. Upcountry, for example, Bizar did quite well, actually in October.

■ So other country, Madhya Pradesh, you know. So these are the rural belt seems to be doing, you know reasonably well in October.

■

Amit Purohit

00:38:18

And, sir just on the point that you highlighted. With respect to increasing your focus on urban

■ So one line of item, is the employee cost you indicated? Would there be any increase in the other expenditure? Also? Likely. Because when I look at your 1st half performance

■ I mean, broadly. I haven't seen a significant increase in other expenditure. So your thoughts should be expect that this should be now a slightly higher than the revenue growth. Is the assumption to look at it or.

■

Abhijit Roy

00:38:53

No other expenses.

■

Amit Purohit

00:38:54

To me.

■

Abhijit Roy

00:38:55

Other expenses will be kept under control. I don't think, you know there will be too much of a

■ overspend there the overheads will be under control completely. In fact, you know, we will try and squeeze it a little bit

■ but in terms of manpower expenses we will continue with our budgeted strategy, and we will continue to invest there. You know, as far as advertisement is concerned, we will again continue there. So these 2 areas I don't think we are looking at in a short term way we will continue to invest wherever required.

■

Amit Purohit

00:39:29

And, sir, last question on the on the console minus stand load. So the subsidiary part I see other expenditure has gone up significantly. Your 100 has been about 45 46 crores this quarter has been 68.8 crore. Is that I mean the 12 crore that you highlighted is coming in the other expenditure, or is coming in the lower getting deducted from the revenue.

■

Abhijit Roy

00:39:55

So part of it is basically that bullocks episode which happened, you know, and which is why you are seeing that expense going up.

■ That is a 1 off issue, and it will win off in quarter quarter 3 and quarter 4.

■

Amit Purohit

00:40:08

Will not be there i

n quarter 3 and quarter.

■

Abhijit Roy

00:40:10

Will not be there in quarter 3 and quarter 4.

■

Amit Purohit

00:40:13

And the the amount is 12 rows that you.

■

Abhijit Roy

00:40:16

That's right, correct.

■

Amit Purohit

00:40:19

Okay.

■ Okay, okay, thanks a lot, sir. Thank you so much.

■

Pinky Mahato

00:40:25

Thank you. Next question is from the line of Avi mehta. Please go ahead.

■

Avi Mehta

00:40:31

Hi, sir, am I audible?

■

Abhijit Roy

00:40:33

Yes, you are.

■

Avi Mehta

00:40:35

So Hi, Hi, avita! I just had 2 questions I have. First, st I just wanted to understand the new entrant behavior. See, in particular where I'm coming from is they have not taken a price increase. Have you seen any pushback from trade to give higher discounts because of this.

■ you know would be useful to understand that part.

■

Abhijit Roy

00:40:56

Yeah. So as of now, you know, they are just establishing themselves, you know. There is a little bit of a price differential, which is, which was always there.

■ It has, you know, gone up marginally because we took up a price increase of 2 2.5% approximately between 2 and 2.5,

■ so that I don't think is a major play, you know, on the ground

■ it does not make too much of a difference. There has been no pushback from the retailers asking for higher discount.

■ Because the brands in which you know, we are investing

■ the differentiated products could doesn't matter at all, because they don't even have equivalents

■ and in the products where the branded products exist, you know where we are advertising, and you know there the price of one or 2% makes no difference, so that does not actually come into effect at all.

■

Avi Mehta

00:41:50

Got it, sir, so in a sense, you know, there is no sorry

■ in a sense there is no Hello!

■

Abhijit Roy

00:41:55

No, there has been no push back, and no effect

■ so far in the.

■

Avi Mehta

00:41:59

Okay.

■

Abhijit Roy

00:42:00

Components.

■

Avi Mehta

00:42:01

Perfect, sir. So in this it is kind of not suggesting that there is possibility of pricing being cause of concern from competition. Fair enough.

■

Abhijit Roy

00:42:08

Not really.

■

Avi Mehta

00:42:09

So the second bit is on the urban initiatives. Now I understand. You know where you're coming from. But historically, this focus

■ has also required, I mean at least, reading your history in rural markets. You saw A. J. Curve emerge where you know the brand was known. You invested in brand development, and over time it resulted in a sharp uptick in sales. Now, the benefit is that in urban India I'm assuming that that investment is not required is that the right understanding, or

■ I think these urban and would need marketing spends as well in some.

■

Abhijit Roy

00:42:40

No marketing spend will be much lesser. So the brand is known, unfortunately like, for in Bangalore, for example, just to give you an example. You know our brand is pretty well known, you know there are a lot of people who settle down from West Bengal who settled from Kerala.

■ you know, settled from Andhra Pradesh, and they are very well aware of our brand. It is strongly represented there in these States, right? So they're familiar with the brand. However, availability is an issue. And the other problem is, you know, we don't have enough contractors and painters to execute the jobs on the ground. So we have to do the basic. And and that is where you know, we run into problems, because, you know, the existing lot of dealers and painters don't seem to align with us

■ because they've already, you know, tied up with the existing companies. So we are trying

to create our own sort of network in these markets which will enable us to bypass this, you know, stranglehold on the dealers and printers by the existing place.

■

Avi Mehta

00:43:41

And, sir, you see, you see this benefit, not taking a lot of time because you said 3 queues when we sho

uld start seeing the benefit itself.

■

Abhijit Roy

00:43:47

Some benefit will come in in quarter. 3 little bit more in quarter 4

■ and and the next year we should see, you know much better benefit coming up.

■

Avi Mehta

00:43:58

So, lastly, sort of bookkeeping we are reiterating, we have been able to maintain our 15 to 17% kind of expectation.

■ I'm assuming there is no reason to revisit that range either on the upside or on the downside right. I just wanted to reconfirm that.

■

Abhijit Roy

00:44:14

Yeah, I am reconfirming very clearly that it will be within that range.

■ at least in the foreseeable short term, future.

■

Avi Mehta

00:44:22

Perfect, sir. Thanks a lot, sir. This is very helpful. Thank you. And congratulations on this.

■

Abhijit Roy

00:44:26

Thank you.

■

Pinky Mahato

00:44:28

Thank you in the interest of time. Please request please restrict your question to 2 per participant.

■ Next question is from line of Abnish, Roy, please go ahead.

■

Abneesh Roy , Nuvama

00:44:43

Yeah. Am I audible?

■

Abhijit Roy

00:44:45

Yes, Avnesh, you are.

■

Abneesh Roy , Nuvama

00:44:47

Sure, sure, thanks. So 1st is you did the mention on the miss in q. 1 q. 2. Because of the extraneous factors. So q. 1. There was the heat wave and elections. Q. 2. There was the impact of 8% higher rates. Do you see this pent up demand coming back at some stage, not asking Q. 3, q. 4. Because currently there is a very high food inflation, urban India. But ultimately the demand which was not met has to come back.

■ So do you see that coming back? Say either in H. 2 or fi. 26 marriage days are very high. And now we have lax of marriage in the next few weeks. That also should help. So what's your prognosis on the pent up demand?

■ Yeah.

■

Abhijit Roy

00:45:29

Is, you know.

■ we feel that. You know it has happened in the time of Covid. Also, you know, demand. Always, you know, in pain doesn't get destroyed, you know. It gets postponed, as you rightly said.

■ and we expect that you know this postponed demand to come up. Now, when will it come up? Whether it will be this quarter next quarter, or the quarter after, is a difficult thing to say. However, you know we did see that in October, you know, there was a very good traction. We did not get the full month, you know, because for Diwali we had to close it around 28th of the October.

■ But in that short period the collection was very robust, you know, and which means that secondary sales would have been very strong.

■ We had the highest collection in that month. So all that, you know pumping in of stock that we had done in the months of August and September

■ got liquidated, plus, we were able to cover the base of October fully. So, which means that, you know market was quite positive as far as October is concerned. If this trend continues into November, December, we should be able to register decent growths in in the 3rd quarter

■ and in 4th quarter. It can be even better. Of course, you know, as you rightly said again, you know urban areas, there is some sort of, you know, restriction in terms of consumption which we are seeing in the Fmcg Companies figures.

■ But you know, we are actually a small player, and with our urban initiative we should be able to counter this comfortably is my feeling especially little bit in quarter 3, and much more so in quarter 4.

■

Abneesh Roy , Nuvama

00:47:10

Second question is you mentioned competition is more in the minds of analysts. So my question is, last 2 years Pd. Light has launched in few markets in internal deco interior deco.

■ Similarly, other players, names I won't take. Everyone knows that my question is on your remark that this phase has been a healthy learning for you, and you have taken some improvement. So if you could talk about one or 2 examples of specific improvement you have done in your business. That is one question on competition. Second is, you did men

tion that in 40 negative gross margins is being done by some players.

■ Now, why would any player or any industry have negative, gross margin? That is very rare, right? This is a very stable, large industry. So I'm sure that's related to the new competition because they are very large and putty. And now they have come into paints. Could you discuss that part a bit. Why, that's happening where that's happening.

■

Abhijit Roy

00:48:06

So you know, vanish, as far as competition is concerned. You mentioned Pedalite, you mentioned another.

■ you know. So the bureaus have also come in. And you know. So there there is

■ competition building up definitely. But pitilight so far, has been, you know, lukewarm. You know. They haven't been very seriously, you know, impacting anywhere in the paint business as yet.

■ As far as you know, the concerned, you know. They have installed a large number of machines across

■ the country, and and also in terms of you know, their effort on the consumer and printer front. They have been persistent on that. So far the impact has been not very strong.

Our estimate is that you know, we would have lost about 1.5% of our growth. I had estimated about 2 and a half to 3% loss which should happen to us.

■ And and you know that has to be compensated through other areas of growth. And that's what something will which you know we are working towards. You know the strategy is very clear. You know there will be some amount of skirmish, some amount of, you know, value growth, loss on account of competition, but that we should be able to recover from other areas.

■

Abneesh Roy , Nuvama

00:49:27

And on the pudding.

■

Abhijit Roy

00:49:29

On the pupti, you know. Actually, it is unnecessary. I think you know, as you are right, that you know. Why should anyone do it, but it is happening in the marketplace. Some of the markets, possibly, you know the intensification of competition between 2 players, you know, resulting in, you know a little bit of

■ price erosion there, and I think you know, that will settle down to very soon.

Comfortable levels, you know, because it's it's a short, you know fight which is on.

■ And in these 2 3 months, you know. They will realize that, you know it's not. No one is gaining in in doing so, because this price game, you know, there is no end to it. You know anyone can play this game, and it's better, therefore, you know, to see what happens, because it's a pure play commodity. So the moment you give price, you know, one brand gets displaced by the other. So

■ it does not make sense to gain in this way, because it is not a sustainable thing. So from our perspective, we are very clear, you know. If we see positivity, then only we play. Otherwise, you know, we do other things around that space, so we can have a different graded. Parties may be launched, or something like that. To avoid this direct confrontation.

■

Abneesh Roy , Nuvama

00:50:41

Sure. Thanks, that's all from my side.

■

Pinky Mahato

00:50:45

Thank you. Next question is from the line of tejas. Please go ahead.

■

Tejash S

00:50:55

Yeah. Hi, sir, am I audible?

■

Abhijit Roy

00:50:57

Yes, there is.

■

Tejash S

00:50:58

Yeah, sir, thanks for the opportunity. So the 1st question pertains to our urban initiative, and and I'll try to ask this question as efficiently as possible. So for a company which has been around for 100 years, and then under the new ownership for 30 years.

■ I'm assuming that we would have tried or pursued this urban market strategy in past also, and then the route to market strategy that we are adopting. Many Fmc companies have done it in past so like what specific changes that we are making this time

■ that kind of gives us confidence that it will be different from our past initiatives. I'm assuming that you made it in past.

■ And then what insight prompted us to kind of go urban at this stage, where I'm assuming that the cost of thi

s market share will be way higher than it would have been. Let's say, 3 years back, because of the new competition.

■

Abhijit Roy

00:51:51

Right, you know. So 1st of all, you know, we did not attempt the way we are doing it now, you know, earlier, what was there was a lot of

■ otherwise opportunities in many of the markets in the upcountry areas itself there is still that opportunity which exists in many markets. So we continue. We have a good strategy for the urban up country markets

■ and those upcountry markets are growing at a good decent pace, and we would like to continue in that direction.

■ However, you know what was happening. As I mentioned, you know, a little bit earlier. That, you know, when we have a say, a depot town, and around it a many up country market. Since we are relatively performing better and growing faster in the upcountry markets, the depot town, or the major town, like Bangalore or Mumbai, used to get neglected by our

■ people who were there because they found it easier to grow in the, in the upcountry areas and more difficult to grow in the cities. So the attention used to get diverted.

Now, what we have done is divided this into 2 clear teams, one which is focused on the upcountry areas, and the one which is on urban is focused completely on the urban markets.

■ So 1st of all, therefore, that brings more seriousness in the effort that is being put, and primarily because his life and death depends on on the urban markets, he will put in that much more effort and consistent strong effort in that

■ second is the nature of the market itself. In the urban areas have changed over the last 8, 10 years, it's become completely verticalized, and many of the other markets will soon go in that direction.

■ There is a dearth of land, and it's going vertical again and again. And in that vertical thing, if you look at, you know, typically Mumbai, most of you stay there, you know. So if you look at that, you know, the decision making is not done by, for the exterior of the building is not done by an individual anymore. It's done by the society or the consultant who advises to the society members. So it it becomes therefore important to, you know, go a different route in these type of markets.

■ and that's something which we are investing in consciously knowing fully well that you know this is a different nature compared to the upcountry markets up country markets. Dealer, painter, that type of dependency is much stronger, and brand becomes very critical. In

■ in the urban markets brand is important. Our brand is already known in both urban and upcountry, but along with that comes no project, knowledge, execution, skills. So all of that becomes very critical. So that is something which we are working on. We are developing special teams around that to work in the urban markets.

■

Tejash S

00:54:36

Very clear, sir, and all the best with that. So the second question

■ and and this is slightly speculative in nature. But if Exo were to decide, as you said, that they have not still announced. But if Exo has to decide that they they are planning to sell.

■ and as of. Now the street is assuming that only incumbents would participate in that transaction.

■ But from your market read, do you see a chance or possibility that a new player, like a cement company or another company can jump in and and make this this consolidation more of an expansion exercise rather than favoring the industry.

■

Abhijit Roy

00:55:12

So anything is possible. Yes, you know, but you know one needs to look at the valuation as well.

■ You know whether it is worth it. You know whether one would like to spend, you know the amount of money. And what do you get out of it? What is it that is of, you know ultimately for sale. Everything has to be considered, you know you. A decision can only be taken once. 1st of all, clarity emerges as to what is you know up there?

■ They are a very, you know

w. Well, run professional company, you know. I'm sure they will come with a lot of clarity once they decide and make up their mind first.st

■ Only then one can say, you know what is to be done. But you know 2 factors are definitely important. The valuation, you know. And what do you gain out of it? You know it? Will it make sense, therefore, to, you know, go for it.

■

Tejash S

00:56:03

And so just associated. Question, if I may. Do you see the kind of fancy that we are seeing around this asset? Now.

■ do you see that at least in near term you, you spoke about margins, that that is defendable. But do you see that our capital efficiency of the business or the industry will get compromised, at least in the near term.

■

Abhijit Roy

00:56:25

So if if someone acquires and you know pays a lot of value for it, for which, against which, you know, they may not get the return. Yes, you know the Roc will get impacted for that particular company, you know. That's for sure, you know, and that's going to happen

■ in case the the the type of valuation that exists, you know. It might happen that way.

■

Tejash S

00:56:44

Perfect.

■ that's all. From my side, sir. All the best for coming quarters.

■

Abhijit Roy
00:56:48
Thank you.

■
Pinky Mahato
00:56:50
Thank you. Next question is from line of Devin Kulkarni. Please go ahead.

■
Deven Kulkarni
00:56:59
Yeah. Hi, am I already? Good.

■
Abhijit Roy
00:57:01
Yes, David.

■
Deven Kulkarni
00:57:03
Yeah. So my question is on the employee cost. So is there also any impact of higher competitive intensity on the employee costs in Q, 2. Because in in q 1, we also saw employee cost grew by almost 15% for the market leader as well. When the volume growth is flattish, so across the industry we are seeing very high growth in employee cost.

■
Abhijit Roy
00:57:28
No. So, Devin, you know, to answer your question. In our case, at least, that's not the case, you know. As I said, you know, about 8 to 9% was on account of the normal increases, you know, which we give every year, and in fact, slightly lower this year ■ but the other part is, you know, in addition of the increased manpower for these 2 activities, one is the urban initiative, and the other one is the construction, chemical and waterproofing, where we are expanding the range of products, and therefore we need a little bit more number of people ■ to take that forward. So from that perspective, it is additional manpower for future business growth. You know, it's not so much from competitive intensity, and therefore, you know, giving more increments to our existing people.

■
Deven Kulkarni
00:58:15
Okay, okay, got it. Thank you.

■
Pinky Mahato
00:58:21
Thank you. Next question is from line of Vedant Mehta. Please go ahead.

■
Vedant Mehta
00:58:26
Hi! Thanks for the opportunity.
■ I just wanted to. Understand, what share of the revenues is contributed by differentiated products, and what are the gross margins on these products?

■
Abhijit Roy
00:58:40
So you know, it is upwards of 20%, you know, which is the differentiated products and the gross margin is typically higher than the average. Obviously ■ some of them are much higher. Some of them are slightly higher, but it's higher always.

■
Vedant Mehta
00:58:55
And could you share any numbers on the market share of these differentiated products?

■
Abhijit Roy
00:59:02
So, you know, differentiated products are. Some of these are not even copied. Some are copied, but you know we have a dominant market share. In most cases.

■

Vedant Mehta

00:59:10

Okay, that's all from me. Thank you.

■

Abhijit Roy

00:59:12

Thank you.

■

Pinky Mahato

00:59:15

Thank you. Next question is from line of Lakshmi. Narayan, please go ahead.

■

Lakshminarayanan K G (TUNGA INVESTMENTS)

00:59:22

Yeah.

■ How complimentary is access portfolio to us, and if it if we were to evaluate them for a strategic in a purchase

or a joint venture whatsoever.

■

Abhijit Roy

00:59:36

So Laxmi, and you know I don't think we will like to comment at this stage unless Axo comes out with clarity as to what they want to do.

■ As far as in my.

■

Lakshminarayanan K G (TUNGA INVESTMENTS)

00:59:48

Say is, how complimentary it is, Sir.

■

Abhijit Roy

00:59:50

It is, you know, you know, for because they are mostly into urban markets, and mostly the luxury end of the products.

■ It suits us, you know, in terms of complementary. It is pretty okay, pretty good, you know. That's for sure.

■

Lakshminarayanan K G (TUNGA INVESTMENTS)

01:00:06

Got it, and second is, what's our mix of premium luxury and non premium in our overall revenue mix of.

■

Abhijit Roy

01:00:18

So that you know we don't look at it. You know I don't have that distinctively. I can't give you the figures as well, but we have a fairly good representation.

■ you know, in the premium luxury category as well, especially

■ the just below the luxury area. We are fairly, I would say, you know, leadership roles are there in both easy, clean, and anti dust. We are a clear leader in the market

■ and the luxury category, you know. We will be number 2 in the case of exterior luxury.

■ and a close number

■ 2 3, you know, in the interior, luxury, category.

■

Lakshminarayanan K G (TUNGA INVESTMENTS)

01:00:55

And one last question, I mean, in terms of opinions, how people buy paint you mentioned in apartment complex, how people make decision? Can you just touch upon how, in urban and maybe in the top tier, 2 cities, decisions are being taken in decoratives.

■ Is it the housewife slash the owner of the house, or it is still through the Project people or the masons. I just want to understand how that is now, and how it has evolved in the last 2, 3 years, that's all.

■

Abhijit Roy

01:01:26

So in the upcountry markets, typically the consumers play a very important role

■ they typically go to the stores themselves, you know, get advice from dealers, from painters as well, but they they decide, you know, primarily because they it is their house, then both exterior and the interior, and they go for the better quality, paint normally, or value for money, whichever they think you know, is suitable for them. So it is much more of a consumer play, of course, influenced strongly by the dealer and the painter.

■
Lakshminarayanan K G (TUNGA INVESTMENTS)
01:02:01

Got it. So just one more question if I can squeeze you mentioned that the High End paints had a double digit growth, while the others did not have any reason why the monsoon, etc. Did not affect the high end. Slash, premium, and luxury.

■
Abhijit Roy
01:02:19

No, it affected, you know, but to a lesser extent, the effort, you know, from our side has also been consistently on this luxury and premium category.

■ We do a lot of activities around that and promote these products strongly. So you know, that is why there is better traction of these products than the mass products. Also the premium luxury, category customers

■ are less impacted, you know, they tend, you know, from the inflation. They don't mind spending. So that is the trend which you will observe in across Fmcg, that the premium category has grown much faster. The mass products are the ones which are suffering.

■
Lakshminarayanan K G (TUNGA INVESTMENTS)
01:03:01

Got it. Thank you, sir. Thank you so much.

■
Pinky Mahato
01:03:04

Thank you. Next question is from line of Jaykumar doshi. Please go ahead.

■
Jaykumar Doshi (Kotak)
01:03:14

Hi, Abhijit! Thanks for the opportunity.

■ and in case, you know, if I was on and off on the call, so if my question has already been addressed. You let me know. I'll get back in the queue.

■ Just one question from I am.

■ You know you've you've been growing faster than the market and market leader for several quarters. Now nearly, you know, 2 to 3 years, very consistently, maybe 200 bits

better.

■ And now you're doubling down focus on,

■ you know, urban markets.

■ So should we expect this, you know, outperformance versus market to widen or expand.

■ or you think whatever initiatives help you grow faster over the last 2, 3 years will probably, you know, that will taper off, and that will be offset by, you know, urban focus.

■
Abhijit Roy
01:04:00

Yeah, you know, our expectation is that it will add a little bit more push to the overall differential growth

■ the upcountry growth. Opportunity still exists for us, and whatever we have been doing has been giving us decent results, and will continue. But I would say, little bit of tapering might happen in the country growth rate differentials

■ but that will be more than made up for by the urban growth rates. Now, which will kick off.

■
Jaykumar Doshi (Kotak)
01:04:28

Sure, and should we expect this benefit from December quarter, or maybe next I mean second half this year, or next year.

■
Abhijit Roy
01:04:35

I think you know quarter 4, you will see. Distinct benefit, you know, should have.

■ Second, this quarter also. Little bit of benefit will come through
■ but next year will be probably be much better.

■

Jaykumar Doshi (Kotak)

01:04:51

Thank you so much, and good luck. With this initiative.

■

Abhijit Roy

01:04:54

Thank you.

■

Pinky Mahato

01:04:57

Thank you. We consider that as a last question for the day, I hand over to management for closing remarks.

Abhijit Roy

01:05:04

So thank you all for coming, and spending time here, you know, and wish you a very good time ahead, you know, hopefully, for all of us. The market will become stronger, and we'll do better in the coming quarters. Thank you again.

Pinky Mahato

01:05:22

Thank you. Thanks to all of you.

■ Thank you. On behalf of Emkay Global Financial services that concludes this conference. Thank you for joining us.

Call: Feb 2025

STOCK. EXG/ AG/ 2024-25

The Corporate Relationship

Department

BSE Limited,

1st Floor,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai -400001

Scrip Code : 509480

Dear Sirs, The Listing Department

National Stock Exchange of

India Limited

Exchange Plaza, 5th Floor,

Plot No.-C/1, 'G' Block,

Bandra-Kurla Complex,

Bandra (E)

Mumbai -400051

Scrip Code: BERGEPAINT 13th February, 2025

Listing Department

The Calcutta Stock

Exchange Ltd.

7 Lyons Range,

Kolkata-700001

Scrip Code : 12529

Sub : Transcript of Investor Presentation on Financial Results

made on 11th February, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 (as amended),-transcript of Investor Presentation on financial results of the

Company for the quarter and nine months ended on 31st December, 2024 made on 11th February,

2025 can be accessed on the website of the Company i.e.

<https://www.bergerpaints.com/investors/download>.

This is for your information and record.

Yours faithfully,

For BERGER PAINTS INDIA LIMITED

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COMPANY SE

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"Berger Paints India Limited

Q3 FY25 Results Conference Call"

February 11, 2025

MANAGEMENT : MR. ABHIJIT ROY – MANAGING DIRECTOR AND CHIEF EXECUTIVE

OFFICER – BERGER PAINTS INDIA LIMITED

MR. KAUSHIK GHOSH – VICE PRESIDENT AND CHIEF FINANCIAL

OFFICER – BERGER PAINTS INDIA LIMITED

MR. SUJYOTI MUKHERJEE – VICE PRESIDENT FINANCE AND

ACCOUNTS – BERGER PAINTS INDIA LIMITED

MR SAYANTAN SARKAR- GENERAL MANAGER-FINANCE & ACCOUNTS

MODERATOR : M R. NITIN GUPTA – EMKAY GLOBAL FINANCIAL SERVICES

Nitin Gupta: Hi, good evening, everyone. This is Nitin Gupta from Emkay, Global.

Nitin Gupta: I would like to welcome all to Berger Paints India Limited. So Q3 FY 25 result conference call.

Nitin Gupta: I thank management for allowing us to host. We have with us today Mr. Abhijit Roy, Managing Director, and CEO, Mr. Kaushik Ghosh, CFO Mr. Sujyoti Mukherjee Vice President - Finance and Account and Mr Sayantan Sarkar GM-Finance & Accounts

Nitin Gupta: I shall now hand over the call to the management for the opening remarks post, which we will proceed with the question and answer session.

Nitin Gupta: over to you. The gentleman.

Sujyoti Mukherjee: Good evening, ladies and gentlemen, and a warm welcome to Berger Paints India Limited earnings Update call for Q3 FY 25.

Sujyoti Mukherjee: • The management presentation has already been circulated, and it is already updated in the website.

Sujyoti Mukherjee: • I would request Mr. Abhijit Roy, our MD and CEO, to walk you through this presentation followed by your questions.

Sujyoti Mukherjee: Over to you, Mr. Roy.

Abhijit Roy: Thank you, Sujyoti, and good evening to all of you. Sorry for keeping you waiting a few minutes

Abhijit Roy: We had a high single digit volume growth in decorative segment.

Abhijit Roy: There was uptick in both. Sequentially there was an uptick both in volume and value. Growth.

Abhijit Roy: Protective business has a strong performance in the quarter.

Abhijit Roy: We continue to gain market share in quarter 3

Abhijit Roy: current market share is in excess of 20%

Abhijit Roy: operating margin remained in the guided range and improved sequentially

Abhijit Roy: company improved its net cash position at the end of the quarter.

Abhijit Roy: If you look at the volume growth for quarter 3, financially at 25, that is, last quarter.

Abhijit Roy: We had a volume growth of 7.4%

Abhijit Roy: Ytd basis, we had a volume growth of 7.7%

Abhijit Roy: value growth 0 point 4%

Abhijit Roy: on a Ytd basis. It is 0 point 9%.

Abhijit Roy: The volume value gap that you see is mainly on account of 2 reasons.

Abhijit Roy: one product price decrease, undertaken in earlier quarters.

Abhijit Roy: and second, stronger sale of high volume and low value, products like texture, paints tile, adhesive and admixtures

Abhijit Roy: and muted sales of high value, product like enamel exterior premium segment did well.

Abhijit Roy: Waterproofing and construction. Chemical segment had a strong double digit growth.

Abhijit Roy: protective and infrastructure. Business continued its good performance in the quarter

Abhijit Roy: sustained growth trend was observed.

Abhijit Roy: If you see 4 years, figure

Abhijit Roy: the volume growth is 15.6 at a Cagr level

Abhijit Roy: and value growth is 16.7.

Abhijit Roy: If you come down to 3.3 years, also 11.8 and 10.4,

Abhijit Roy: so the volume value gap in both these cases, if you see, are negligible.

Abhijit Roy: but on a 2 year, and this year there is a gap in a 2 year basis. It is 9.3 volume growth and 3.6 value growth.

Abhijit Roy: As I said, 2 primary reasons.

Abhijit Roy: One is, of course, the price drop of 4 to 5%,

Abhijit Roy: and the second reason is sale or increased sale of categories, like tile adhesive texture, coatings and admixtures which are mostly of add, you know, waterproofing and construction chemical.

Abhijit Roy: which results in you know distortion in the volume growth compared to the value group.

Abhijit Roy: If you look at the gross margin percentage, it's been pretty healthy, as you can see, and

Abhijit Roy: at 39.8% of quarter 3.

Abhijit Roy: It is more or less hovering around in that range of 39.3 to 40.5 over the quarters. It's been in that range, so no great

Abhijit Roy: change, as far as the gross margin is concerned. In spite of intense competition, gross margins are being held at those levels.

Abhijit Roy: The same holds true, for Ebitda margin as well

Abhijit Roy: is at 16.2%. It's been hovering in that range. Only we have always guided that it will be possibly be in the 15 to 17% range.

Abhijit Roy: It's ahead of 16. So that 16.2 is where we are, as far as operating margin is concerned.

Abhijit Roy: gross margin contracted marginally over the corresponding period of last year

Abhijit Roy: on account of product price reduction undertaken in the last financial year.

Abhijit Roy: Currency, depreciation in the current quarter.

Abhijit Roy: and some inventory impact of monomer price increase.

Abhijit Roy: However, prices have now started coming down.

Abhijit Roy: Operating margin was lower on a year on year basis.

Abhijit Roy: however, improved sequentially on the back of some operating leverage.

Abhijit Roy: Operating margin, however, remained on the higher end of the band of 15 to 17%. As guided earlier

Abhijit Roy: profit. Growth at net level, saw an uptick, aided by dividend received from B. And Nepal.

Abhijit Roy: So this is in terms of

Abhijit Roy: numbers 0 point 4% total income from operations.

Abhijit Roy: We we operating profit negative 2.8

Abhijit Roy: dbt, 11% growth and and pat 16.3 Dbt. As as I mentioned, there's a B. And Nepal dividend which came in, and that's why it is one positive so much

Abhijit Roy: on the console.

Abhijit Roy: It is 0.9% on Ytd basis for standalone.

Abhijit Roy: it is 0.9%. Ebitda is negative 4.6 profit

Abhijit Roy: is 7.2% 1.9% negative in pvt, pvt, 0.8% negative and pat is 0.9% positive

Abhijit Roy: decorative business recorded, high single digit volume, growth.

Abhijit Roy: exterior premium, segment did well in this quarter.

Abhijit Roy: Construction. Chemical waterproofing and wood coating products had a robust performance. Strong double digit growth, aggressive network expansion continued

Abhijit Roy: added 2,000 plus retail touch points

Abhijit Roy: installed around 1,800 color bank printing machines.

Abhijit Roy: and our urban initiative is progressing well.

Abhijit Roy: Many of the high growth products continue to do well.

Abhijit Roy: the waterproofing and construction chemical. We have added a few more products, the ranges expanded, and we are doing very well in this category.

Abhijit Roy: Many new stores have been set up, especially in the urban centers.

Abhijit Roy: and they are giving us good results. Experience business outlets

Abhijit Roy: which are working well for us Berger. Exclusive stores, which are basically

Abhijit Roy: these are exclusive points where one can see, touch, feel the textures, the various types of paint, spend some time with the family and then buy paint.

Abhijit Roy: industrial business, protective coatings. Business continued its leadership position with strong performance in the quarter.

Abhijit Roy: aided by infrastructure, push from the government.

Abhijit Roy: automotive, general industrial and powder coatings. Business line had a muted growth.

Abhijit Roy: improved net cash position in the quarter.

Abhijit Roy: December 24.

Abhijit Roy: From September 24. Level. It improved from 2 42 crores

Abhijit Roy: to 377 crores

Abhijit Roy: on the Consolidated level. Our total sales growth.

Abhijit Roy: our income from operations was 3.2%

Abhijit Roy: Ebitda level. If you look at it, 1.7% negative

Abhijit Roy: and pat 1.4% negative again, Ytd.

Abhijit Roy: December 1.9% growth.

Abhijit Roy: Ebitda, 8.5 point 4% negative and pat is 2.9% negative

Abhijit Roy: companies overseas subsidiary bolex. Poland had a steady top line growth.

Abhijit Roy: The profitability was muted on account of some one off project expense which will not be there in the next quarters.

Abhijit Roy: Companies overseas, subsidiary. Bj. And Nepal had a robust turnaround performance on top line.

A

Abhijit Roy: aided by a low base and improvement in business conditions. In Nepal

Abhijit Roy: profitability, growth was strong, aided by the Scale Effect

Abhijit Roy: company, subsidiary stp, limited at a quarter of steady top line growth.

Abhijit Roy: However, profitability suffered on account of deterioration in product mix, owing to low traction in admixture, sales.

Abhijit Roy: Sbl speciality coatings also had a modest growth in top line

Abhijit Roy: and a flat growth at the operating profit level.

Abhijit Roy: The joint venture, Berger, Becker coatings, and another quarter of very healthy growth of top line and Profitability

Abhijit Roy: Company's joint venture. Berger Nippon paint automotive coatings had a strong top line growth

Abhijit Roy: and profitability and showed significant improvement. Aided by gross margin expansion, business outlook.

Abhijit Roy: we remain optimistic on decorative business, improving its growth sequentially

Abhijit Roy: on the back of likely improvement in consumer sentiment

Abhijit Roy: pooled by favorable budget announcements and adequate monsoon, and the volume Value Gap

Abhijit Roy: is expected to bridge due to weaning of price decrease impact in the coming quarters.

Abhijit Roy: protective business prospects seen better on the back of government, spending on infrastructure, automotive, and other industrial businesses

Abhijit Roy: likely to perform better in the coming quarters.

Abhijit Roy: Geopolitics and currency, depreciation appear as likely risks.

Abhijit Roy: This is our new head office, from which, from where I'm speaking, therefore, this little delay, because there was some small issues there in a new place. Always there are some challenges.

Abhijit Roy: So this is in the form of a paint can, as you can see.

Abhijit Roy: with a rooftop which is solar powered.

Abhijit Roy: It's a unique architecture.

Abhijit Roy: And and the 100th year

Abhijit Roy: we had to shift out from the old premises where we are running out of space.

Abhijit Roy: So this is the new office which we have come out with

Abhijit Roy: yesterday, in fact, was the inauguration

Abhijit Roy: inaugurated by the West Bengal Industries Minister Sashi Paja, and this is one photograph

Abhijit Roy: where all of us are present

Abhijit Roy: from Berger side, and the minister herself.

Abhijit Roy: Thank you, and I await questions from all of you.

Nitin Gupta: Thanks, Abhijit, so we will now start with Q. And a session.

Nitin Gupta: I hand over the call to my colleague, Kevin Shah, to moderate the Q. And a session over to you. Kevin.

Kevin Shah: So those of you who have questions can raise your hand. Now we will announce your name, and you can then, and unmute your line.

Kevin Shah: please, highlight your full name and the organization you are representing.

Kevin Shah: The 1st question is from the line of Aneruthi. Joshi, please go ahead.

Aniruddha Joshi: Hello!

Abhijit Roy: Yes, go ahead.

Aniruddha Joshi: Yeah, sir, thanks for the opportunity.

Aniruddha Joshi: sir. we have seen the new entrant in the market has

reached

Aniruddha Joshi: more than almost 1,200 crore sales, probably in 9 months itself. And now the new plant will also start in the Eastern India. So now, Berger in a way uniquely, has got some extra time compared to other peers

Aniruddha Joshi: to understand. The strategies and the aggression, and even the product, portfolio, etcetera. So now what will be our strategy to counter as it enters the key region of Eastern India. That is question number one

Aniruddha Joshi: question number 2 is we are from the channel checks, and even other companies have also highlighted that there is, some green shoots are visible in January. So is that trend observed by Berger also. And do we see the overall growth rates sustaining in in this quarter entire quarter also. Or this is this a s

tructural

Aniruddha Joshi: reversal in the growth rates of the inter sector, or we will have to wait for more time to see how the trend pans out.

Abhijit Roy: Right to answer the 1st question first.st You know.

Abhijit Roy: I I don't think you know there is any material impact on where the factory starts is production because they have enough production capacity.

Abhijit Roy: And it's not that, you know. In one place they start production. And you know, immediately that place starts getting affected.

Abhijit Roy: It doesn't happen like that, because, you know, it's not as if the supplies are not there. The supplies are coming from all over, and they have started operations in the East. Maybe

Abhijit Roy: the supply will improve a little bit, but it's not going to substantially change the scenario on the ground

Abhijit Roy: as of now. Yes, you know they are a serious competitor, as I have all always maintained.

Abhijit Roy: and no, there has been some sales growth, you know, impact, as far as the existing players are concerned, all of us would have been impacted in small measure.

Abhijit Roy: It's our estimate is that you know, Virulla has got about on a Ytd basis

Abhijit Roy: about 3.5% of the market, right? You know, which is.

Abhijit Roy: if you consider 5 main players which consider, you know, which produce the result.

Abhijit Roy: and take also Birla in that

Abhijit Roy: which is the 6th player. Then in that 6 players they have about 3.5%

Abhijit Roy: right on a white key basis.

Abhijit Roy: Now.

Aniruddha Joshi: Okay.

Abhijit Roy: Now that I don't think is going to, you know, materially impact.

Abhijit Roy: you know anything or substantially the growth of any of the companies. It does impact to the extent of 3 and a half percent. So

Abhijit Roy: that impact is there. To some, some of the players may get impacted by 5%. Some of the players may get impacted by 2 and a half percent.

Abhijit Roy: But it is, the broad range is in that category, right? So that's the growth rate impact. Which is there so far

Abhijit Roy: right

Abhijit Roy: now, if you do away with that. With the paint industry, there have been 3 major problems this year.

Abhijit Roy: Number. One problem was that you know, there was a price decrease which we had done, which is about 5% last year, right? Which lasted right up to January.

Abhijit Roy: which has been impacted the paint growth rate.

Abhijit Roy: The second is the slowdown in the market itself.

Abhijit Roy: which is to the tune, in my opinion, of 3 and a half odd percentage is on account of the slowdown.

Abhijit Roy: So 5 plus 3 and a half, 8 and a half.

Abhijit Roy: These 2 are temporary in nature.

Abhijit Roy: These 2 are completely temporary in nature.

Abhijit Roy: 5%. The price decrease is already off from middle of January. So therefore, this quarter itself, we will see that impact.

Abhijit Roy: The second part is related to the slowdown.

Abhijit Roy: That also is temporary, hopefully, and that with the budget that we have seen, you know, we look forward that you know a large part of that will get bridged from April onwards.

Abhijit Roy: So, therefore, one part is going to go away largely in this quarter itself, and the second temporary part is possibly going to change scenario from April onwards.

Abhijit Roy: as far as the competition is concerned, that will continue.

Abhijit Roy: that for every player, as I said, is different for different players.

Abhijit Roy: In our case, our impact is slightly lesser than the 3 and a half percent.

Abhijit Roy: So we are impacted to that extent right, and that impact will continue going forward as well. We don't anticipate that going away

Abhijit Roy: completely, but, as I have always said it 2 and a half to 3% is expected that the growth rate will be impacted by the new entrant.

Abhijit Roy: Then we have to ensur

e that we restore that growth rate through our own measures, our own initiatives.

Abhijit Roy: our own initiatives in terms of distribution, expansion at a much faster pace than what we do normally.

Abhijit Roy: and also the urban initiative which we have undertaken.

Abhijit Roy: We are reasonably confident that we should be able to overcome this.

Abhijit Roy: You know, backlog of 2 and a half to 3%. So that you know, we don't get into any problem of growth.

Abhijit Roy: This is my reading of the situation.

Aniruddha Joshi: Okay, sure. So this is very helpful. just regarding your view on one of the Mnc. Player is has plans to sell out the decorative business. So what is Berger's view on that? We keep hearing from media news stores? But maybe what is the stance? Berger.

Abhijit Roy: No, I've given media statements, you know already that it doesn't as of now, doesn't fit in strategically with what we think of in doing, and we have therefore not bid for this at for the time, be.

Aniruddha Joshi: Okay, sure. And the margin guidance 15 to 17%. So do you see? The margins remaining closer to the top end, or or lower to the or or towards the lower end, considering where the crude oil level, or even the inr depreciation, has also happened, and also, the competitive intensity will be at Peak in FY. 26.

Abhijit Roy: The competitive intensity is already there. Nothing much has changed in the overall scenario. I don't think any significant change will happen in the future

Abhijit Roy: it will remain, possibly in that band of 15 to 17%. That's the guidance that we maintain.

Abhijit Roy: You know, we have maintained that. And we are continuing to maintain that.

Aniruddha Joshi: Okay, sure.

Aniruddha Joshi: This is very helpful. Many thanks.

Abhijit Roy: Thank you.

Kevin Shah: Thank you.

Kevin Shah: The next question is from the line of Milesha. Please go ahead.

Mihir P Shah: Hi, sir, good evening. This is Mihir Shah from Nomura. Thank you for taking my question so firstly, congrats on your new head office looks quite nice hope to come down and meet you soon there

Mihir P Shah: and again congrats on your strong volume performance. There seems to be a very stark difference between you know, Burgess volume performance versus all the other listed players this quarter.

Mihir P Shah: Can you help us dissect and understand why this divergence? Is it due to the regional presence that you have versus other players? Or and or is it because grassivess entry? You know. You know, maybe a little more in the other regions, and probably less in

Mihir P Shah: your region. Or your stronger markets. Can any insights on? Why the divergence in volume growth versus everybody else, Sir.

Abhijit Roy: So you know, I I think we make too much out of this glass inventory. Yes, it has impacted some of the players, you know slightly more

Abhijit Roy: but that is not the primary reason for the difference, because that, as I said, their total share, as I said, is 3.4% right? Ytd.

Abhijit Roy: so you know, even on this quarter, probably it would have been higher, because this quarter they did. You know better than what they have been doing in the previous quarter.

Abhijit Roy: so probably it would have gone up somewhat. But still it's not the major in force which is impacting everyone else. Right? You know, so different players have got impacted differently

Abhijit Roy: in our case, you know, I think the divergence is coming out of 2 factors. Primarily, distribution expansion which is happening at a very good pace, you know, I would say, and in fact, we would like to accelerate that further.

Abhijit Roy: and the second is the urban initiative that we have undertaken.

Abhijit Roy: Small results have started coming. I think it will further give better results going forward.

Mihir P Shah: Perfect. So that's wonderful. Secondly, if I can check on the gross

margins, I mean, I thought historically, 3rd quarter margins ideally should be better than the second quarter margins given. The exterior paints, you know, start to sell in the 3rd quarter versus the second quarter. However, maybe in this result. We are not seeing that much of a difference in gross margin profile

Mihir P Shah: also, the mix seems to have deteriorated further. You know, in your case? At negative. If I'm assuming a minus 2 pricing. So firstly, would we have a minus 2 pricing this quarter and which ideally should become a plus 2 from next quarter. So that's 1, and maybe why are we still seeing a small dip in the gross margins? you know. Despite higher sales of exterior plates and premium pins.

Abhijit Roy: So, you know, made actually, this quarter every year the premium sales and the luxury category sells very well, you know the 3rd and the 4th quarter, typically after the rains

Abhijit Roy: tends to pick up momentum in terms of luxury, product sales and premium product sales. So the base effect is also there, you know. Last year also, these products would have sold very well the growth rate, you know, as we have seen, for most consumer categories haven't done anything substantially great there, so the growth rate has been very limited as far as this exterior category or premium category or luxury category is concerned, especially on the interior luxury

Abhijit Roy: we had a muted growth. We had a good growth in the exterior category, but in the interior luxury, category, and the premium category. The growth was relatively muted.

Abhijit Roy: Also the fact that you know, when you are talking of the volume Value Gap, that you are seeing, as I explained to you.

Abhijit Roy: Part of it is price decrease. But you are rightly saying that you know what about the balance? The balance is not because the mix is deteriorated as such. But the fact is that you know tile adhesive as a category did not exist 2 year back. But that volume is large, and it is coming, and it's a good, profitable item. So we continue to sell that

Abhijit Roy: the second is texture coatings. Now we were not present in that particular segment, but in projects, in, especially in the western

and southern parts of India, texture coatings is has become sort of de rigor for almost every building you know. So now the texture coating volumes goes up. This is a low value item, but high volume. So therefore.

Abhijit Roy: all of these these are nuances which is difficult to explain individually. But you know these are the things which impact the volume. Value gap that you are seeing, and you will see that you know, for most of the leading decorative players. This type of

Abhijit Roy: gap will happen if they sell these type of products. If they're not selling. Obviously the volume value Gap will be less so. It is not because the mix is deteriorating or improving. It is because of the sort of products that is being sold as of now, which is distorting the picture a little bit. But that's about 2, 2 and a half percent distortion, because of that.

Abhijit Roy: and 4 to 5% is due to the price decrease, which was there that 4 to 5% will go away, the 2 to 2 and a half percent will remain so in terms of volume value differential. You can expect a 2 and a half percent to sustain in the next few quarters.

Abhijit Roy: Got it. So got it. Thank you. So, lastly, okay.

Mihir P Shah: No, very clear. This is very clear. So thank you so much for that. So lastly, if I could just ask on the current of you know, months or the Jan months trajectory? I miss. I might have missed your comment. Are you seeing a pickup in the sales on volume front.

Abhijit Roy: Sequentially there is an improvement for sure, you know. So we, as I had indicated, you know, in the last meeting in quarter 2 results also that quarter 3 sequentially will be better than quarter 2, which we did not very significant. But there i

s an improvement compared to what the market has done, and in quarter 4 it is going to be further improvement. We have.

Abhijit Roy: You know we are at 7.4 or something in volume. I expect that we will possibly go up more towards the double digit figure in terms of volume, growth, and in value growth. As I said, there will be a difference here of 2 and a half, 3%. So we expect bit single digit growth in terms of value. Growth.

Mihir P Shah: Got it, sir. Thank you very much, and wishing you all the best, sir.

Abhijit Roy: Thank you.

Kevin Shah: Thank you. The next question is from the line of Ajay Thakur, please go ahead. Your line is on mute.

Ajay Thakur: Hi! Thanks for taking my question. So, sir, I wanted to understand there was some mention about the valuation part while you were commenting on the pull out from the Exxonobil deal in the media. So if you just throw some light on what kind of valuation has been quoted for

Ajay Thakur: Exxonobil, and and you know.

Kevin Shah: You! Repeat!

Ajay Thakur: So if if you can just throw some.

Abhijit Roy: Yeah, you know, I I haven't, you know, mentioned, you know, these guys press can write anything. You know. They 1st wrote that. You know we are. We are bidding that we are the most serious player. Then they wrote that you know that we are not happy with the valuation, etcetera, etcetera.

Ajay Thakur: I was.

Abhijit Roy: Get into these things you know, as of now, I would just say that it doesn't have a strategic fit. You know, the value benefit equation doesn't fit in with our requirements.

Abhijit Roy: so we are not, therefore, a serious contender in this race as of now. This is all that I can tell you.

Ajay Thakur: Understood, sir? Sir, second question would be in terms of the the, you know, if you were to look at the leaders number for the quarter, and also for the last quarter. We have seen a very dismal performance from them. And even if you were to kind of add up the the new player

Ajay Thakur: roughly, about 3 and a half percent. So will it be kind of a fair estimate to under. Say that, you know, the leader would have lost more than 3 and a half percent market share given the fact that you know, our you know, value share has been at least, you know, been better versus the the others. Given that our growth has been better versus the others.

Abhijit Roy: You can do that, maths, you know. It's very simple maths, you know. I don't think you know, I need to say anything on that. Obviously, you know, there will be. The net sum is 100% right. If someone gains, someone has to lose. We are not losing that. All. That's all that I can say. What has happened and who's lost. You know that you can easily calculate and find out for yourself.

Ajay Thakur: Understood, sir. Sir. Just last one. Obviously it is related to again the Akzonobel, but any potential new entrant. Can it again? You know, we already are seeing quite a bit of a you know, complete intensity.

Ajay Thakur: a potential new entrance from, you know the the buyer of the Akzonobel. Can it lead to? You know, further kind of a competition in the space that we already seen.

Abhijit Roy: So I know it depends. I I foresee no such great, you know.

Abhijit Roy: Problem because Exxonobil has already been in existence in India.

Abhijit Roy: for you know, more possibly 100 years or so. Right, you know. So whoever acquires it will be running that same company with same brands, you know. Maybe they will do some plus minus. But it's not going to change dramatically the picture. This is not a newcomer who is coming into the industry. So I see no

Abhijit Roy: major issue there, you know, unless you know. There is some major change happening on the ground. Only time will say what happens. But as of now. I don't see anything majorly happening. There.

Ajay Thakur: Thanks, thanks for answering all my questions. Thank you, sir.

Abhijit Roy:

Thank you.

Kevin Shah: Thank you. Participants. Request you to call out your full name and organization you are presenting.

Kevin Shah: We have the next question from the line of Amit Purohit, please go ahead.

Amit Purohit: Hi, sir, good evening. Thank you for the opportunity.

Amit Purohit: Am I audible, sir?

Abhijit Roy: Yes, yes, you are. Please go!

Amit Purohit: Yeah, sir. Just I mean, based on your comments on the quarter for Q. 4 it seems that probably industry should also be growing at mid to high single digit. Right? Is that a fair assumption in value terms.

Abhijit Roy: No, I don't think so, you know, in value terms. No, no way, you know, no way, no.

Amit Purohit: For Q. 4. I'm saying. Q. 4.

Abhijit Roy: Okay. Q. 4, yeah. Q. 4. Possible. You know. Possible that volume terms it might be in high single digits, value terms. I don't think so, you know, as far as the industry is concerned. No, given based on the comments that have been made so far. I don't think that is possible or feasible.

Amit Purohit: And secondly, sir, when I look at I mean for us also. Like, you indicated that there will be some impact because of the new products that you are selling largely on the construction, chemical and tile adhesive side this would be true for even next year. Also, right? The the math that you explained us for Q. 4 should be relevant for Fy 26 as well. Is that okay?

Abhijit Roy: It will be relevant, you know, for a in a few more quarters, maybe because till the base catches up, because it's actually growing at a very fast place from very low basis. So once it reaches a steady base, then it will, you know, become a normalized growth, and it won't have that much of an impact.

Amit Purohit: Sure. And, sir, if you could provide some insights on your urban initiatives, and also the exclusive dealers. What is the profile of the dealer

Amit Purohit: who is taking up a Berger paint. I mean, I'm just asking this, because now he has an option to look at, and a Berger. So what does a Berger brings on the table? Or he's an existing paint dealer who is becoming an exclusive dealer, or is he the altogether new new

Amit Purohit: individual who is entering into the paint industry as a becoming a fresh dealer. Just if you could highlight that, and and also on the urban strategy. Is there a link towards this exclusive dealer and the urban strategy? Anything that sort.

Abhijit Roy: So in Urban, you know. Basically, we need to get foothold in the marketplace. If if most of you are based out of Mumbai. You will see that you know very few Borja dealers are visible on the ground, you know. So

Abhijit Roy: the 1st task is to get, you know, dealers to stock and sell our products, because, though a customer might want this product from, you know, because he he might have used it in the past, or he likes the product, but the availability becomes a major issue. The same holds true for even the painters or contractors

Abhijit Roy: when they don't get material at short notice, they also try to avoid this particular brand. So, therefore, getting foothold into the market and getting your some of the dealers to stock, this material becomes very important. The second is, you know, having got him to stock, we need to also ensure that the sales happen from his counter.

Abhijit Roy: That's something which we, you know, earlier days we never

used to work on that. But we have learned our lessons from, you know various experiments that we did, and we focus on getting the sales going or the being sustained. So based on these 2,

Abhijit Roy: we are looking at all options. It's not, you know, it can be competition dealer it can be, you know, non dealer, it can be someone who is interested, very enthusiastic, energetic, who wants to come into the paint business. So combination of any factor is fine as long as we get good representation across points.

Abhijit Roy: and t

hen we work with them, you know, to ensure that the sales happen so other details I will not be able to share with you, but you know we are quite hopeful that this will work very well for us.

Amit Purohit: And typically the urban demand is largely would be, would this fair assumption that it will be more incrementally project led, and hence exterior paints becomes far more important for us, and since we have a broad, a very strong brand, and we can kind of scale up from there for.

Abhijit Roy: Yes, to some extent you are right. That you know it is much more exterior focused, you know, in the urban centers, because the towns and the cities. You know, the urban centers, big ones, at least, are mostly vertical, so you know, mostly exterior paint oriented so that game has to be played well, basically.

Amit Purohit: Sure. And, sir, lastly, on the margin you indicated 15 to 17%. I just want to have your thoughts. I mean, we really don't know how 6 months next 6 months will play out, because even the new entrant has aspirations of reaching out high single digit market share, and the leader has also indicated till the time the high single digit market share is not achieved. They are also not considering the new player as to be serious enough

Amit Purohit: so so from that perspective, we see that say, maybe second half of

Amit Purohit: of the next financial year there could be.

Amit Purohit: Assuming that continued, then there could be some activity on competitive intensity which may arise, and and the increments also start indicating some kind of pressure on moral things. So I just want your thoughts on one on the the openness of or are you looking when the demand

Amit Purohit: 3 stores to high double digit. You're looking to re-look at 15 to 17% kind of maybe. Look at lower end of the 15 to 17, or you would.

Amit Purohit: I still believe that that should not be a challenge. Given your urban initiative and premiumization towards exterior paints that will cover up for that.

Abhijit Roy: Yeah, I think it should not be a challenge, you know. I think we should be able to hold, you know, at these levels, at 15 to 17%, you know. In fact, we have.

Abhijit Roy: always indicated that, you know. We are not interested in this game of, you know, no profit or less profit. And you know, trying to do some sale, you know. Somehow, that's not what we are, you know, interested in. We are looking at, you know, doing it sensibly so sales and market share. As I have said, we have managed to gain, even in this situation.

Abhijit Roy: even with competition even with, you know the new competitor, if you add them up also, we have gained market share over

last year, so there is nothing much

Abhijit Roy: to worry on that count. You know I unlike you, know what other people have said. I take them very seriously. I think they're a serious competitor. Whether they reached, you know, high single digit. When they reach you know they will possibly reach there, you know, 2 years, 3 years down the line, maybe. But the issue is, you know, how long can they sustain these losses that they are incurring that has to be seen?

Abhijit Roy: There will be huge losses there, you know this year itself for them, and how much, how much time they can incur these losses has to be seen. We want to grow profitably. Our logic is very simple. You know. We carry on with our work. We carry on with our growth rate both in sales and maintain good profits. That's that's how we would look at it!

Amit Purohit: Sure, that's it. Focus. Thanks a lot.

Kevin Shah: Thank you. We have the next question from the line of Karthik Chellappa from Indus. Capital. Please go ahead.

Karthik Chellappa-Indus Capital: Yeah. Thank you very much for the opportunity. Am I audible.

Abhijit Roy: Yes, you are, I think.

Karthik Chellappa-Indus Capital: Great. Thank you very much, sir. Just a couple of questions from my

side. Now I noticed that in the standalone statement our other expenses are actually down year on year, despite being a festive quarter, and despite the demand conditions actually being challenging this year compared to say last year or so so what would be some of the expenses which we have managed to save this quarter? And how sustainable are they.

Abhijit Roy: So there are many areas, you know, where we had opportunities to save, and I think we still have opportunities to save.

Abhijit Roy: These are costs which are, you know, of the nature which are non essential. I would say

Abhijit Roy: we have looked at each of those areas, you know, and and try to conserve as much as possible. As you can well understand. These are challenging times, and therefore, you know, more work needs to be done around those.

Abhijit Roy: There are large work, you know. In fact, you know, if you look at our advertisement spend, which doesn't come separately broken. But in many cases people have reduced their ad spends. We have maintained our ad spends at no levels which were there earlier as well. But there are other areas where we have cut back, which I think, you know, we can cut back. And those are areas which are easily the overheads have been reduced to a large extent. Some amount of technology has been brought in. Some, you know.

Abhijit Roy: new startups have helped us in, you know, generating savings there. So some of these are happening which will, you know, enable us to. In going forward also you will see these costs being kept under control.

Karthik Chellappa-Indus Capital: Oh, sorry, sir, just to clarify when you said you have maintained ad spends, I mean, this quarter. Our revenue, at least in the domestic business has been flat. So when we say we have maintained, is it as a percentage of revenue, or is it just in absolute terms? Also it has been flat here on.

Abhijit Roy: In absolute terms. It has been more or less flagged.

Karthik Chellappa-Indus Capital: Okay. So we did not feel the necessity to increase our ad spends in the light of you know the entrant which is coming in and stepping up, basically.

Abhijit Roy: No, not really, no, not as of now, you know, we may be conserving some of our energy for later date.

Karthik Chellappa-Indus Capital: Okay, okay, fair enough. My second question, sir, is the 7.4% volume growth. It actually seems to be a standout based on what other companies have reported till date, in fact, even smaller companies or so. Is there any geographical salience to it? Or could you give us some qualitative comments on region wise. How did that demand play out for you?

Abhijit Roy: No, it's more or less spread across most parts of the country. One or 2 areas did not do all that. Great.

Abhijit Roy: Like the west. We we struggled a bit this quarter.

Abhijit Roy: but you know otherwise. Most other locations. We had decent growth.

Karthik Chellappa-Indus Capital: So, including East East also, was a positive volume. Growth geography.

Abhijit Roy: Yes, this time, you know, because second, till second quarter we were struggling a bit

Abhijit Roy: 3rd quarter, including East, as you said, you know. Yes, we had some growth in the East as well this time.

Karthik Chellappa-Indus Capital: Okay, got it. Thank you very much for these useful data points, sir. Wish you all the best for the following quarters, that's all for myself.

Abhijit Roy: Thank you.

Kevin Shah: Thank you.

Kevin Shah: Just a reminder. Those of you who have questions may raise your use. The razor hand option.

Kevin Shah: We have the next question from the line of Tejash Shah. Please go ahead.

Abhijit Roy: Hello!

Tejash Shah: Yeah. Hi, sir, am I audible?

Abhijit Roy: Yes, it is.

Tejash Shah: So thanks for the opportunity and

Tejash Shah: congratulations, for the new office looks very classy and and

Tejash Shah: So a key pillar of our strategy for last few quarters which we have called out is disproportionate focus on urban expansion.

Tejash Shah: So any number that we are running with in terms of how many dealers we want to add, or in percentage terms, what growth or what expansion we are targeting in that part of the market. That's 1 and second, let's say, the addition that we would have done last year. How's the retail offtake in all those counters? And how's the health of the

inventory in some of those additions that we would have done last year.

Abhijit Roy: Right? So yes, you know. The urban centers contribute, you know, a significant portion of the total business, you know. See, paint

Abhijit Roy: mostly is consumed in urban markets, right, you know. But what we have done is we have selected some of these markets, defined them as urban, where we are relatively weak in terms of market share, and called them our urban markets. So it's not like

Abhijit Roy: paint gets, you know, used in rural huts or something it is always used in, mostly in urban markets, but it can go down to tier 2 tier 3. Those are also towns. Those are also urbanized.

Abhijit Roy: but you know, the maximum concentration in our effort has been on key markets where we are relatively weak. But the potential is very large. So that's what we have defined as urban in those markets. You know, we are growing at a faster pace than the normal growth rate, obviously at a substantially faster, because, you know it's a base is very low, and therefore, when you are adding dealers, when you are, you know, sustaining them, you tend to grow much faster in those markets. The second part is

Abhijit Roy: Which you asked is, you know, what are you doing to sustain this right.

Tejash Shah: Yeah. And, sir, health of the inventory. Retail of take.

Abhijit Roy: And the health of the inventory. So sustenance we we are more or less because we have managed to create, you know, secondary sales demand for liquidating the stock.

Abhijit Roy: and therefore the inventory. In fact, you know it is quite dry. You know you will be surprised, I think, if the market sentiment improves. You know, there will be quite a good sales growth happening, because you know what they used to hold at 1 point of time the inventory levels in most dealer counters have come down. This is, we do a tracking every month

Abhijit Roy: of you know what is being lifted from each dealer counter and that that trend clearly indicates that the stock level has been coming down for most dealers. So the inventory level holding of dealers is at a low level.

Abhijit Roy: As soon as the situation improves and sentiment improves. We might see, you know, a good increase in in impetus and demand.

Tejash Shah: Yes, sir, and, sir, you spoke about that. The new player would have garnered somewhere around 3, 3 and a half percent. So just wanted to understand, where is this market share coming from? Is it at a very premium and economy or mass market.

Abhijit Roy: Mostly economy and mass market, as of now.

Tejash Shah: Okay, okay?

Tejash Shah: And so, lastly, on on volume growth that we have reported, which is a very strong number just wanted to clarify. Will it be like to like versus last year, because you also.

Abhijit Roy: It is like to like over last year, because some of them.

Tejash Shah: File addresses. Also. That's why I'm clarifying.

Abhijit Roy: Validity was there last year, but the growth rate in that is higher. So from that perspective, you know it, it might give you a slight

increase there, but it is like to like.

Tejash Shah: Okay, okay, that's.

Abhijit Roy: But the product was there, but the growth rate, obviously the base, was small, and you know it is growing at a much faster clip. So therefore

Abhijit Roy: you might have, you know, some added value added volume growth coming out of these products. Obviously, that is happening. All of these 2 3 p

roducts which are growing much faster is adding to 2, 2 and a half percent. But the rest, you know, is normal volume growth.

Tejash Shah: Perfect, and Sir waterproofing also will be part of this high growth portfolio, or will it be part of the normal one?

Abhijit Roy: Waterproofing is high growth, you know, high volume growth and value. Growth also is fairly good there in waterproofing.

Tejash Shah: Perfect. That's that's very great. So thanks, and all the best for coming quarters.

Abhijit Roy: Thank you.

Kevin Shah: Thank you.

Kevin Shah: We have the next question from the line of Darshitwara.

Kevin Shah: Please go ahead.

Darshit Vora: Yeah. Hi, am I audible?

Abhijit Roy: Yes, you are there. Shit.

Darshit Vora: Yeah. So thanks for giving me the opportunity and congratulations for the relatively good results. So my question was that

Darshit Vora: relatively. Other companies are saying that you know their rural is doing better than urban is doing slightly diminished. Although we know that they have their own ways of you know, categorizing, urban, and rural. But is that this like a similar trend being observed by you as well.

Abhijit Roy: So, as I said, you know, we, since we are relatively, was a weak player in the urban areas, and we are focused there much more strongly. Actually, we are getting better growth rates there, you know. So we might not be the representative sample of, you know the entire industry, you know, as far as we are concerned, we aren't seeing any great difference. In fact, you know, we are seeing a slightly higher growth

Abhijit Roy: for ourselves in the urban market. As I said, slightly lower basis were there, and therefore we are growing at a higher click. There.

Darshit Vora: Alright, alright! And and would you be able to give slightly more context on the open initiative that you say has, you know, brought you such volume? Growth.

Abhijit Roy: So I just mentioned Darshit. You know. I I hope you know you're listening in, you know. So I did mention that. You know these are the things which we are doing. We are looking at, you know, establishing getting, you know, dealers on the ground first, st

Abhijit Roy: and then working with those dealers to ensure that, you know, they stabilize their sales. We work on the secondary side of it and

try and grow that market. So so that's that's the whole objective.

Darshit Vora: Alright! Alright! Thank you so much.

Kevin Shah: Thank you.

Kevin Shah: We have the next question from the line of Natin Jain. Your line is unmuted. Please go ahead.

Nitin Jain: Hello! Can you hear me now?

Abhijit Roy: Yes, nitin, we can.

Nitin Jain: Thank you for the opportunity, sir, and congratulations for the standout result. So I have just one question in the context of Q 4 so we have seen that the currency has depreciated significantly in, you know, the last 2 months or so almost to the tune of 2 to 3%. So to what extent do we see this impacting our margins in the coming quarter?

Abhijit Roy: Yeah. So, Minam, you are right. You know. There has been a currency depreciation, you know, but the quantum of you know imports that we do, which is about, you know, in terms of Rmc total cost is about 25 to 30% is, you know, imported which will get impacted. 70% won't get impacted. So to that extent, yes, you know, there is some impact.

Abhijit Roy: but not very significant. As such. You know, there have been some price adjustments, also lowering of prices in some of the other items. So it balances out more or less, you know. So it's not a great, you know, impact so far.

Abhijit Roy: But if it further depreciates, and you know, if the prices also start going up, which is unlikely because oil prices, I think, is likely to remain stable given. What trump has said that you know drill, baby drill and all, you know. So you want to. You know oil prices are unlikely to, therefore sharply move up

wards.

Abhijit Roy: It's going to remain in the stable zone.

Abhijit Roy: and therefore, you know, chances of raw material prices. Misbehaving is low, so I don't see any challenge there, you know. Frankly speaking.

Nitin Jain: Okay, great. That's quite helpful, sir, and all the best for the coming quarter. Thank you.

Abhijit Roy: Thank you. Nitin.

Kevin Shah: Thank you.

Kevin Shah: Next we have a follow-up question from one Joshi. Please go ahead.

Aniruddha Joshi: Yes, sir, thanks for the follow up. Just one question so why do we think? The new? The Mnc. Player, which is selling the decorative business is probably not strategic fit, considering. It operates at the top end of the market.

Aniruddha Joshi: So definitely, Baja has got silk offering also. But Baja can definitely benefit at the top end of the market, plus it has relatively higher share in certain pockets like larger cities in Delhi, Bengal, Rupune, or some cities in Gujarat also. So I guess Metro presence is also relatively better in Western as well as the overall metro presence.

Abhijit Roy: I got your question, and I understood, you know. But see,

you know

Abhijit Roy: we also have very good presence in many of these markets in the urban markets, in even in the project segment where they play. We also have got very strong presence there, so a class of interest, to some extent, is there?

Abhijit Roy: There are advantages. It is, you know, the value benefit equation, which you have to look at very seriously. Right? You know it's not something which is, you know, coming cheap, or you know, you can just take that risk very easily. So, having weighed everything very carefully, you know, looking at the value, benefit analysis that we did for ourselves. We did not find, you know it attractive enough for us. It may be very attractive for others, but for us. It was not sounding very attractive.

Aniruddha Joshi: Okay. Okay. Sure, sir. Understood. Thank you.

Abhijit Roy: But for like, for example, in the urban market, exterior segment is a strong one. They also have very good brand. We also have very good brands. Right weather code is a very, very strong brand, and long life is a strong brand. So there is, you know. What do you do with, you know, fighting amongst each other, and then you have 2 teams going into the same places and fighting, you know. So there are confusions with it can be tackled. But you know, then you have to look at the value benefit overall and then decide.

Aniruddha Joshi: Okay, okay, sure, sure, sure, really, important.

Abhijit Roy: Thank you.

Kevin Shah: Thank you. We have a follow up question from Karthik Shalap. Please go ahead.

Karthik Chellappa-Indus Capital: Yeah, thank you. So just one industry level question. So in the past cycles, we have noticed that paint's demand growth has always been a multiplier of the Gdp growth. Now, in this cycle it is running at probably 0 point 5 times Gdp, or probably even lower, which is very, very unusual.

Karthik Chellappa-Indus Capital: while the urban Slowdown is well documented and shared by companies across other industries as well. For some reason paints is turning out to be much weaker than even other consumer categories. So what I wish to know is, are there any other nuances that you have observed in this cycle which is causing the Slowdown to be deeper than what you would normally expect.

Abhijit Roy: Yeah, that's

Abhijit Roy: this question has been, you know, asked repeatedly. I've explained. But let me try and explain to you again, you know, and in fact, you know, right at the beginning I said the same thing. See, you know normally what was happening was when the Gdp was, say, growing at 7%. As you rightly said, one and a half times of that, which is 10.5% was the value growth of the paint companies or 11%. You can say

Abhijit Roy: in that 11%, there was a volume growth of possibly 9% and a 2% p

rice inflation which used to happen, and that used to take it to 11% right? This was the trend line which was there.

Abhijit Roy: you know, for the last many years. So always there used to be. Price increases because oil prices will go up and there will be some price increase happening in most years. So 2 to 3% will come out of that and 9 to 10% volume growth will happen. So you'll get 1112% of value growth happening right through the years.

Abhijit Roy: Now this year there have been 3 peculiarities which has impacted the paint industry.

Abhijit Roy: One was, there is, instead of a value growth. We have a value dip of 5%. Right? So when you have a volume growth of 10%, you are only getting a value growth of 5%. So you see on the oh, it is only 5% growth. So earlier, it was one and a half times. Gdp. Now it has become less than Gdp.

Abhijit Roy: Then you have a competition, which is picking out 3 and a half percent from the total market right? So that reduces it further by 3 and a half percent, because that industry. It is there. But since they are not publishing results, and you're not seeing it in the overall industry, the growth seems, you know, coming down by another 3 and a half percent. Right? So when you remove from 10% volume 5 and 3 and a half, it comes to

Abhijit Roy: one and a half percent. So you know, that is why it looks like Gdp over is underperforming.

Abhijit Roy: That is why I explained that this is going to go away. This 5% is temporary.

Abhijit Roy: So once that goes away, you will see a much closer approximation, possibly equal to Gdp and or slightly ahead of Gdp. It will become, and then then other 2 problems which are plaguing this one is the consumption slowdown itself hopefully, that will change from April onwards.

Abhijit Roy: The other one, which is the competitive intensity which has gone up, and therefore some share loss that will continue, you know, for most players, and therefore that cannot be avoided. These 2 will restore itself back so the price decrease. Impact will go away hopefully. There will be some price increase impact.

Abhijit Roy: you know, soon. And and the second part is related to the other factor, which is the sentiment improvement. And in that case, again, you will see Gdp into 1.5. So there is no permanency of this whole thing. It is purely temporary, it will restore itself very soon.

Karthik Chellappa-Indus Capital: So, in your view, there has been really no change per se in the repainting cycles, or anything of that sort.

Abhijit Roy: No, no, nothing has happened which is worth

Abhijit Roy: cycle. Change hasn't changed. Cycle remains. The people are still. Only thing which has changed a little bit is the, you know, sentiment which, for all consumer categories, as you are aware, has been, you know, little bit slower than normal once that comes back. And once this price differential of 5% goes away, you will see a change scenario.

Karthik Chellappa-Indus Capital: Perfect. Thank you, sir, thank you very much, and wish you all the very best.

Abhijit Roy: Thank you.

Kevin Shah: Thank you. As there are no further questions, we consider that as the last question for the day, I hand over the call to management for closing remarks.

Abhijit Roy: So thank you all for coming, and, you know, spending time in today evening. And now, hopefully, I've been able to answer most of your queries to your satisfaction. Thank you once again, and see you again next quarter.

Kevin Shah: Thank you. On behalf of Emkay Global Financial Services. And this concludes the conference. Thank you for joining us.

Sujyoti Mukherjee: Thank you all.

Call: Jun 2025

(no extractable text — likely a scanned image PDF)

Call: Nov 2025

(no extractable text — likely a scanned image PDF)

Call: Feb 2026

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Sub: Transcript of the Q3 FY26 Results conference call for the quarter ended 31st December, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, please find enclosed the transcript of the Q3 FY26 Results conference call for the quarter ended 31st December, 2025, conducted after the meeting of Board of Directors held on 5th February, 2026 for your information and records.

This has been uploaded on the Company website also and can be accessed through the link:

<https://www.bergerpaints.com/investors/download> .

Yours faithfully,

For BERGER PAINTS INDIA LIMITED

ARUNITO GANGULY

VICE PRESIDENT &

COMPANY SECRETARY STOCK. EXG/ AG/ 2025-26

The Corporate Relationship

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"Berger Paints India Limited

Q3 FY26 Results Conference Call"

February 05, 2026

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SERVICES

Nitin Gupta

■Hi, good evening, everyone. This is Nitin Gupta from Emkay Global.

■I would like to welcome all to the Berger Paints India Limited's Q3 FY26 Results Conference Call.

■I thank Berger Paints Management for allowing us to host.

■We have with us today Mr. Abhijit Roy, Managing Director and CEO.

■Mr. Kaushik Ghosh, CFO.

■Mr. Sayantan Sarkar, GM Finance and Accounts.

■I shall now hand over the call to the management for the opening remarks, post which we will proceed with the Q&A session.

■Over to you, sir.

Abhijit Roy

Thank you, Nitin, and...

■Good evening to all of you. With me today, here is Kaushik, and Sayantan is on the line in Kolkata.

■Let me start with the presentation.

■ We have, just a quick highlights of the Q3 performance.

■ High single-digit volume growth, while value growth remains muted.

■ Extended monsoon spillover into October impacted demand momentum.

■ Year-on-year and quarter-on-quarter expansion of gross margin, backed by improved product mix and stable raw material prices.

■ And TBDIT margin is within the guided range of 15-17%.

■ Standalone, if you look at the performance, 8.5% volume growth.

■ The value growth, relatively much more muted at 0.4%. Value volume gap driven by mixed shift.

■ Higher share of economic emulsion, textures, and tile adhesives, coupled with price corrections taken in financial year 25 in the economy emulsion segment.

■ The two together had that impact of volume growth being relatively stable, but value growth being at 0.4%.

■ Automotive segment delivered steady quarterly performance, while protective, including GI, remains muted.

■ If you look at the volume and value, cagr, of quarter 3 and 9 months.

■ If you focus on the 9-month, you know, figures, it's an interesting, figure that you will see.

■ That in the volume growth, For 2 years, 3 years, 4 years, 5 years, whichever you look at it.

■ 5 years, of course, is at 13.9%, but in the 2, 3, and 4 years, it's been hovering in that 8,

■ to 10.7 range.

■ So, it's nearly that high single-digit to double-digit type of volume growth.

■ But value growth, correspondingly, is progressively reducing, from 13.4% to 8% to 2.8% to 1%.

■ Now, the questions can be asked.

■ As to why 4 years and 5 years, the gap were much lesser.

■ And why has it been increasing when you look at the 3-year, 2-year, or the current quarter?

■ There are two major reasons for it.

■ One is the fact that there was this price drop which happened to the extent of about 4.5-5%.

■ Which created this gap for 2 years, consecutive.

■ And then, subsequently, there was this price drop which happened in the case of...

■ you know, economic emulsions, which was about 2-2.5%, which is still persisting up to December, January 23rd, it was there, and no longer there after that.

■ The second reason is the improved sale of certain

■ High-volume, low-value products like techers, tile adhesives, the growth rates of which are much, much higher than paint.

■ So, therefore, the volume growth happens

■ To be there, but the value growth is relatively muted in such a case, though the profitability, as you can see from the gross margin, remains at a healthy level.

■ If you look at the gross margin figures.

■ In fact, this quarter, it has been the highest in the last 15-odd quarters, barring quarter 4 of last year, which was matched at 41.2%.

■ This quarter, too, it is at 41.2%.

■ At the EBITDA level.

■ Of course, it is at 16.1, largely because of the scale effect. The value sales growth did not happen, so obviously the overheads

■ Got spread over a lesser value, and hence.

■ Otherwise, the EBITDA also would have been more closer to 17, but it's showing a 16.1% here, but well within the range of the 15% to 17% guidance that we have given all through.

■ Standalone quarter three results, if you look at, you know, therefore, total income from operations, increase of 0.4%, gross margin 4% expansion.

■ EBITDA margin flattish at minus 0.1.

■ And, PAT, of course,

se, is minus 2.5%.

■ Y2D basis, it is 1.2%, gross margin expansion of 2.5, PBDIT minus 4.4, and PAT at minus 8.8%.

■ Similarly, consolidated is very similar to standalone, at 0.3% in terms of top line, and minus 0.2% in terms of bottom line. And on a YTD basis, it is at 1.9% value growth, and minus 5.4% in terms of EBITDA growth.

■ Decorative business, The dealer network expansion continued during the quarter.

■ Driven by installation of 2,500 plus color bank machines.

- Which is, you know, what we had indicated that we will possibly do, and enhancing presence through addition of stores, and currently the store numbers are in excess of 1,800 stores across the country.
- Store-led urban initiatives undertaken in prior quarters are on track
- Resulting in positive traction with momentum expected to sustain.
- Newly launched Emulsion Color Plus.
- And metallic enamel and metallic water-based paint, launched very recently, performed well. Construction chemicals delivered robust growth.
- Driven by differentiated offerings such as roof segment, damp-proofing solutions supported by the successful launch of DAMShield, and strong traction in the tile adhesive segment.
- Strong double-digit and volume growth registered in wood coating segment.
- These are some of the products which we introduced. The Color Plus is an interior premium emulsion, doing quite well in the markets where we have launched so far.
- Silk Metallics is a new one which we introduced more towards the end of December.
- Doing very well in most markets already. In January, we clocked a healthy sale. February also has been started, you know, and now I think we expect that the metallics of Luxol metallic and silk metallics, these are high profit margin products, and doing quite well across the country.
- The other is, you know, in terms of the expanding range of construction chemical products and waterproofing range.
- We added Dam Shield, which is another product, which we added in the last quarter.
- And we are going to add one or two new products this quarter as well.
- Industrial business, auto seg... payment delivered... Hi, single bottom group value.
- Loop In Protecton and general industries, growth in terms of volume and value remained muted.
- These are some of the photographs of the stores that we are setting up in various markets.
- Net cash position consolidated has improved.
- From about 689 crore in March 25,
- to 918 crore in December 26.
- Console performance, Bullock's strong top line and operating profit growth, partly aided by P&L appreciation.
- BJ Nepal muted revenue and profitability amid political disruption, but things are stabilizing there.
- STP Limited, top line impacted by temporary shutdown at Jamshidpur plant. Operations normalized from January 26, so now it's okay.
- SBL Speciality Coatings Limited, revenue impacted by weak industrial demand and tariff impact, profitability affected by scale, and one-off start-off costs. We set up a new factory near Chandigarh, which consumed, you know, some initial expenses.
- But it is one-off and should come off, you know, from this quarter.
- Berger Becker coatings, robust sales and profitability driven by scale and margin expansion.
- And Berger Nippon Paint Automotive Coatings, strong double-digit revenue growth, aligned with boom demand in auto space, profitability also, strong double-digit growth, improved... improved, actually, and aided by stable raw material prices as well.
- Esg excellence at Berger Paints with a score of 64 across ESG parameters given by NSE.
- Score is a leader amongst the peers within India in the paint domain.
- We also got, you know, our corporate office was LEED Platinum certified. We got the certificate in last month, it's December 2025.
- Business outlook?
- Demand conditions continue to be closely monitored with early signs of gradual improvement. So, October was negative, November slightly positive, December more positive, January slightly more positive than December, so it's improving month on month.
- Focus remains on revenue growth, with sustained gross margins remaining the key objective.
- Operating margins are expected to remain within the guided range.
- Competitive intensity expected to remain elevated.
- Continued investments in branding, distribution expansion, and urban initiatives remain key to capture potential demand improvement as and when it keeps happening.
- Geopolitical uncertainty, forex volatility, and evolving tariff dynamics may pose Near to medium-term volatility.

■ Thank you, and open to questions.

■

Nitin Gupta

Thanks, Abhijit. So, we will now start with Q&A session.

■ I hand over the call to my colleague, Mohit Dodeja, to moderate the question and answer session. Over to you, Mohit.

Mohit Dodeja

Thank you.

■ Those of you, those of you who have questions can raise your hand now. We'll announce your name and unmute your line. Please highlight your full name and the organization you are representing.

■ The first section is from the line of Mihir Shah.

■ Please highlight your full name and the organization you are representing, and go ahead with your questions.

■

Mihir Shah

Hi, sir, good evening. This is Mihir Shah here from Nomura. Thank you for taking my question.

■ So I've wanted to check with you, if you strip off the month of October, from the results, how is the, sales growth momentum, for November and December, and any insights you can share on how that continuity happened... is happening in Jan as well? You did mention

■ That, you know, the, the,

■ Ebitda margin would have been, yeah, closer to 17%, if the impact wasn't there.

Some insights on the sales growth momentum would be, helpful, sir.

Abhijit Roy

Yeah, so as I had mentioned, you know, October was negative, you know, and which I had indicated in the last time we met, you know, here with all of you. November did have a slight positive.

■ And then December was better than that in mid-single-digit type of a growth rate, and that is where we are in January as well. So that is how it is.

■ In terms of value, in terms of volume, and obviously that differential still exists up about 7%, 6-7%.

Mihir Shah

Understood.

■ Sir, any insights on the competitive landscape that you can share? It remains stable the way it was, is some deceleration, or now, you know, gradually the other players were kind of getting stagnated.

■ Any, any insights on how the intensity is shifting, on, the competitive front, please?

Abhijit Roy

It remains very stable now, you know, more or less, you know, the main player, remains at a stable point now.

■ In terms of competitive intensity. It's not increasing, it's not decreasing, it is at a stable level. Month on month, we see the values remaining very similar, you know, to that category, and, you know, on a quarterly basis, if you look at it, there is no major gains happening. Yes, there is a slight gain, but not like they were growing at, say, you know, 35, 40, you know, now it

■ 7, 8, 10, 12% type of a gain.

Mihir Shah

In light of all these, how do you see the next year shipping? Because now we have at least 2 years of,

■ you know, lower value growth in the base. Can one expect... and there are most of the tailwinds around the macro parameters, already there.

■ Can one expect any improvement in volumes to go to mid-teens levels in next year, and then you can go back to double-digit growth, in value terms, over the next year, sir?

Abhijit Roy

So, I think, you know, the double-digit volume growth should happen, and it is already very close to it. We should be able to definitely go into the volume, double-digit volume growth happening.

■ As far as value growth are concerned, I think the differential will remain in the extent of 4-5%, so if the volume growth goes up to, say, 12-13%, then the value growth should be in the range of 7-8%. That's where

I think it should be, and that's, I think, realistic as of today.

Mihir Shah

Got it. Thank you very much. Wishing you all the very best, sir.

Abhijit Roy

Thank you.

Mohit Dodeja

The next question is from the line of Sukhrit Patel. Please go ahead.

Sucrit Patil

Good evening to the team. My name is Sukrauk Patil from EyeSight FinTrade Private Limited. Am I audible?

Abhijit Roy

Yes, you are.

Sucrit Patil

Yeah, thank you. My first question to Mr. Roy is, as the decorative paints market continues to evolve, how is the management thinking about prioritizing growth levers such as distribution reach and product innovation?

■ Among these, which do you believe will be most critical in strengthening Baja Payne's competitive,

■ positioning and sustaining long-term brand leadership. That's my first question. I'll ask my second question after this. Thank you.

Abhijit Roy

Right, thank you. You know, I think both are important and very important for the decorative business, and specifically for us. We, as you know, are a number two player, but we have many areas in the country where we have a relatively weak presence in terms of distribution network.

■ We have been ramping up this network, you know, at a furious pace in the last, I would say, 3-4 quarters.

■ The results will take some time to become completely visible, but it should start showing, you know, very soon, because it takes time for a machine to start off and establish itself, and, you know, you get some sales, you know, and the mass builds up.

■ that's going to happen, and that is something which we... and that drive will continue from our side. You know, there are still many areas of the country where

■ I know there are gaps in terms of availability of material, and which we are now trying to bridge by adding more manpower on the ground, and at the same time concentrating on improving our distribution. So that's... that's one area which we will continue to lay stress on.

■ The second is in terms of the product innovations which you mentioned.

■ We did mention two or three products which we have recently launched. One, two more in the pipeline, very interesting ones. And I think we will continue to do that for two reasons. One, of course, you know, this channel that we are developing and increasing in size, we already have a fairly large number of machines on the ground, and we are adding this.

■ So, to these counters, we add these innovative products.

■ So that improves the sale. The second is, of course, the profitability moves up. So these are all products with higher margin also, normally, and then therefore, you know, it tends to boost the profitability as well. So we will continue to do both of these simultaneously.

Sucrit Patil

Thank you. My second question to Mr. Ghosh is, from a financial point of view, can you elaborate on the key trade-offs managed between input cost volatility, pricing discipline, and continued investment in brand and distribution?

■ How do these considerations influence your approach to sustaining cash generation and return metrics across the cycles? Just want to understand your point of view on this, and how do you approach this? Thank you.

Abhijit Roy

So, basically, brand building has always been our priority.

■ One sec. Can you see me?

Sucrit Patil

Yes, yes, very, very clearly, thank you.

Abhijit Roy

Yeah, so basically, brand building has always been our priority, and when it comes to margin maintenance.

■ That's also a very big priority for us.

■ So we continue to... Whenever it comes to... maintaining the...

■ cost ratios. We continue to monitor them on a regular basis.

■ And...

■ So there is this con... constant,

■ Innovations and the coordination with materials.

■ And cost efficacy, which we continuously monitor.

Sucrit Patil

Is that it? Means,

■ Okay, fine. Thanks, thanks. Thank you, and best of luck.

Abhijit Roy

Thank you.

Mohit Dodeja

The next question is f

rom the line of Aditya Bhartia. Please go ahead.

Aditya Bhartia

Hello. Hi, good evening, sir.

Abhijit Roy

Hi.

Aditya Bhartia

So my first question is on the insights on demand momentum that you shared.

■ In the last conference call, we sounded a lot more optimistic about demand. We were speaking about, possibly, mid-single-digit kind of revenue growth in third quarter, touching close to double-digit kind of a revenue growth, towards fourth quarter.

■ This time around, it has changed a bit, and not only for you, but for the entire sector.

■ just want to understand, how are things changing at the ground? Why is the same optimism that was there last time around not there? That's my first question. And my second question is on RM costs. Is there any progress that has been made on anti-dumping duty on TIO2?

Abhijit Roy

Right, you know, very valid question that you asked, you know, I was also optimistic, you know, about

■ being more closer to, you know, 7, 6-7% in terms of the growth, and possibly going towards the 8-9% mark, you know, by the fourth quarter. That was the expectation, that once the rains stop, the demand will pick up.

■ It did pick up, but not to the extent that we would have loved to see. Possibly also that, you know, while the rains, which was elongated quite a lot, we kept, you know, pumping material into the dealer's shelves, so there was some amount of stock buildup which happened.

■ Which got liquidated in the period between November and January.

■ So therefore, you know, the replenishment sale did not happen to the extent that we would have loved to see there. Possibly it will start, you know, seeing improvement in terms of the actual growth situation.

■ February, March, you know, progressively, it should... it should stabilize. This is, you know, to answer your first question. You answered this... you asked another question, I think...

■ What was the second you asked?

Aditya Bhartia

Yeah, on anti-dumping duty at.

Abhijit Roy

Anti-dumping duty, you know, yeah, we did fight this case, and we won this battle in the court.

■ And, the government... the court has given a judgment that, you know, it needs to be given back. So we've got part of the money back. The other part we have applied for, and we should get back that money also, in form of the anti-dumping. As of now, there is no anti-dumping duty on titanium dioxide.

■ Until that point of time, therefore, the cost has come down for titanium dioxide marginally.

Aditya Bhartia

Sure, sir. Just a clarification, is this a final order from the court, or is it the stay that they had put,

Abhijit Roy

It's a final order which was given, so that's why the government had to, refund, you know, the

anti-dumping duty from the date when that order was given.

Aditya Bhartia

Perfect, perfect. Thank you so much for answering my question, sir. Thank you.

Mohit Dodeja

Thank you. The next question is from the line of Kardik Chalapa. Please go ahead.

Karthik Chellappa-Indus Capital

Yeah, hi, Karthik here. Sir, am I audible?

Abhijit Roy

Yes, you are, Karthik. Go ahead.

Karthik Chellappa-Indus Capital

Okay, great. Sir, two questions from my side. The first is, if we were to look at this value-volume gap of about 8%, and if I were to bifurcate it between, let's say, mixed-level changes, where the economy segment probably did better, as well as, let's say, the price revisions that we have undertaken, which are yet to probably anniversarize, how will that split look, roughly, in your opinion?

Abhijit Roy

So, the mixed change will probably be about 3-3.5%, you know, on account of the low-value, high-volume products selling much more, than other products.

■ The... about 2% to 2.5% were on account of direct price drops which were there, which we took in the low-end emulsions last year, which is still impacting. As I said, till January, this impact was there.

■ From February onwards, that weans off.

■ The third p

art which was there is we increased our spends in the painter, spends which was there in reaction to the competition which is there. And therefore, that's about 1.5 watt percentage which has gone up. So, all put together, this gap is explained.

Karthik Chellappa-Indus Capital

So, sir, in a way, going forward, to your comment on the value-volume gap will still remain 4-5%, even as volume goes to double-digit. So, inherently, you are making the assumption that the mixed changes is something that will continue, isn't it? Because the price...

Abhijit Roy

Right.

Karthik Chellappa-Indus Capital

Yeah, the price will anniversary at some point, and then.

Abhijit Roy

That is right.

Karthik Chellappa-Indus Capital

Okay. Why is that... why do you think that is the case?

Abhijit Roy

25:11

Because the growth of these categories is much higher, you know, it's starting from a low base as of now, and therefore, you know, and the market is, you know, quite big. We have just, you know, started, and therefore the growth rate for us, the trajectory of growth is much, much higher.

■ And hence, this is going to continue for the next possibly one, one and a half, two years, maybe, after which it will obviously start petering down.

Karthik Chellappa-Indus Capital

Excellent. Okay, my last question, sir, is, I think this quarter, as well as probably the previous quarter, the market leader has probably done slightly better than us.

■ And in the past, we used to have commentary or slides on our market share gains, and that was not there this quarter. What would you attribute, let's say, the slowness in our market share gain?

Abhijit Roy

So, you know, even today, you know, we are...

■ We have lost a little bit of market share. In fact, market leader has also lost market share. It has gone mostly to Birla. If you take Birla also into one of the categories, given the fact that, you know, whatever they say, we assume that they are saying that this is what they have done. If you can consider that, then there is...

■ A slight gain in market share for them, you know, and then losses for everyone else in the system.

■ The reason for the slightly lower growth that you are seeing for us compared to the competitors, because competitor leader you were talking about had a very low base in the third quarter, and the fourth quarter of last year as well, second, third, and fourth quarter.

■ the differential was very high. You know, in fact, the gap between us and them in the fourth quarter was 9.5%, you know, so they stand at an advantage of 9.5% starting

■ So obviously, I would expect that the growth rates will be higher in their case compared to us. So that is what it is, but we are still, you know, holding on to fairly decent... we didn't lose any market share last year at all.

■ This year, there is a marginal decrease, but, you know, we are still there, you know, doing fairly okay, I would say, given the current situation.

Karthik Chellappa-Indus Capital

Got it. Okay, thank you very much for the detailed responses, sir. Wish you and the team all the very best. That's all for myself.

Mohit Dodeja

Thank you. The next question is from the line of Tejas. Please go ahead.

Tejash Shah

Yeah, hi sir, thanks for the opportunity.

■ Sir, first question pertains to your observation or your comment that you made that, the competition from the big, challenger has plateaued. I just wanted your observation or comment on the broader competitive landscape as well, so...

■ There are... there is a long tail of competition also, which is joining the industry, be it smaller fragmented players are also coming, and then there is also consolidation, which is creating another large entity, which is AXO JSW.

■ And then we also picked up that, Haisha also, it's not a very sizable competition, but Haisha is also from Pitoli is also kind of entering East India. So, when we zoom out and when we see a competitive landscape overall, no

t only from one new player, how would you read that?

Abhijit Roy

28:29

So, this, you know, this type of competition, the other competitors that you spoke about, you know, those type of competitors have been coming into this country and fighting for long years. Some of the MNCs we used to keep coming in, you know, sometimes Hempel will come, sometimes Jotun will come, sometimes Sherwin will come, sometimes two other people will come. So, they are there, but they are not very disruptive or

■ you know, takes away a large chunk of the business. So, it is impacting.

■ But to a lesser degree. I would say, you know, maybe all combined together, they may be again impacting the growth rate by 1-1 and a half percent, but that's about it, right?

■ But the bigger impact is coming from that one player, which is, you know, stabilizing. So I would place it in that way. There are other players who are there

■ are not very disruptive, or not coming from zero base. They are there for now quite some time. The incremental gains that they are making is not substantial to disturb the equilibrium in the system.

Tejash Shah

Fair point, sir. So, second, just, referring to an earlier participant question, that, the industry at large

■ gave very positive signals in the previous quarter, and investors also kind of... we want you to say a good thing, so we also kind of cheered it very, very happily. And then the same could not last for a quarter.

■ So just wanted to understand

■ what is the forecasting significance of some of this high-frequency monthly numbers?

Or should we rather wait for at least two quarters before we say that the worst is behind? And then that, along with one broader question, that if our bull case scenario is 7%

■ value growth. For us, 5% to 7%, or you said mid-single digit. India, the government of India is actually hoping for 10% nominal GDP growth rate. So now, when I tie it up with low penetration of the category.

■ and we not even eyeing or targeting normal GDP growth rate. Where's the disconnect? Why this number and that number are not matching?

Abhijit Roy

Yeah, so, you know, why is this, that, you know, we were relatively more, I would say, positive in our outlook? And why we are not saying that, you know, is largely because, you know, normally in the paint industry, we had seen in the past.

■ that when rains happened, or when there was a disturbance in the demand situation, and it got broken for some time, like, say, COVID, or like any other disturbance in the system, and the pain demand was disrupted.

■ When it came back, it came back, you know, all the pent-up demand used to come back, and it used to be far more stronger demand once it came back.

■ This time, when it did come back, it did not happen at the pace at which we had seen earlier.

■ Now, you might ask, why did it not happen? Why did it happen in the past?

■ And why did it not happen now?

■ It can be that, you know, as I said, we were still playing the game. It was not completely disrupted. We were selling, we were still growing at a lower pace, maybe, but it was still there, hanging on there.

■ And therefore, you know, there was a built-up demand in the system, which got liquidated, you know, in the next 2-3 months. The second reason is that there is... or there are other new players who have come into the system, which, again, you know, we should have anticipated that that was there, still there, and that growth rate is still disturbing, right? So that

■ To that extent, it did not bounce back fully.

■ You can say that why are we not looking at a 10% nominal growth should result in at least a 10% growth for the industry. True, it should.

■ Logically, you know, that is how it should be. But given the current context that at which pace which we are growing, we want to be conservative and be very sure that what we are saying, we should be able to deliver, and that's why we are saying that. It may so happen

that we may actually grow at

■ what you are saying as 10%, possibly next year. But, you know, we would like to be playing it safe. We don't want to say that, you know, we will grow at double digit and then land up with 4-5%.

Tejash Shah

Thanks for the detailed answer, and if I may squeeze in last one, any pocket of demand, be it in product side or regional side, which is doing much better than the aggregate numbers that we are delivering?

Abhijit Roy

Well, you know, some of the products, you know, as we have always said, you know, construction, chemical, waterproofing, wood coatings, some of our emulsants, you know, in the premium category are doing quite well, much better than the categories itself, and overall growth rate of the company.

■ And in some regions, some of the urban markets where we have invested have started doing better than what we used to do, and much better than the category growth rate.

Tejash Shah

Thanks, and all the best for coming quarters.

Abhijit Roy

Thank you.

Mohit Dodeja

Thank you.

■ The next question is from the line of Pratik Gauthi. Please go ahead.

Pratik Gothi

Hello?

Abhijit Roy

Yeah, Pratik, go ahead.

Pratik Gothi

Yes, thank you for the opportunity. This is Prateek Gauti from HSBC.

■ Most of my questions have been answered. I want to push on a particular point you made, regarding some downtrading to the economy segment from premium and luxury in general. Could you elaborate on that? Why do you see that is happening?

Why do you think that is happening? This is my first question.

Abhijit Roy

It's not really downtrading, per se, you know, we... the luxury category is not growing as much, you know. Part of the reason can be that, you know.

■ In our case at least, you know, much of the luxury category growth and the luxury base exists in the East for us.

■ The East Market hasn't done all that great in the last few months. And therefore, you know, for us, luxury category has been a bit muted.

■ The economic category, on the other hand, you know, has been doing better. This is an upgrade, actually, from lower down distemper, etc, moving into emulsions.

■ There has been a price cut which we had taken, which I mentioned about in the economy emulsion also. It is therefore much more price competitive, and therefore the demand and the volume growth has been higher in the economy emulsion.

Pratik Gothi

Sure, this helps.

■ Since we're talking about regional presence as well, I remember that you also have a decent presence in Uttar Pradesh. I think it's above average.

■ In terms of your national presence. So any regional trends from that particular state where growth has been strong, at least the GDP growth, underlying growth has been strong there.

Abhijit Roy

UPS can do well for us. It continues to do well for us.

■

Pratik Gothi

Okay, okay, thank you for the answers. Thank you. It's all from me.

Mohit Dodeja

Thank you.

■ The next question is from the line of Rishi Modi. Please go ahead.

Rishi Mody

Yeah. So, first question I had was on the...

■ Resin facility that y'all have operationalized.

■ Just wanted to get an understanding on how much gross margin... how many bips gross margin expansion should come from this, and what do we intend to do with that margin accretion? Are we gonna retain it, let it flow to the bottom line, or are we gonna use it

■ Somewhere in the P&L.

Abhijit Roy

Well, you know, not very significant, I would say, though it will have some impact. You know, this is basically for solvent-based production, which we have start, you know, which we are going to start in Hindu Pur. We are expanding there in our southern plant.

■ It is meant for industrial paint, also for decorative. More so for industrial, and also a little bit for decorative paint.

■ This is... this was necessary because, you know, we were a bit stretched in the industrial side for capacity, and this will help us to actually be comfortable

as far as

production capacity is concerned on the industrial side, which is growing at a decent pace.

■ Especially the automotive will start picking up, and at the same time, we expect protective and general industries also to pick up soon, and therefore, you know, we wanted to have the capacity in place beforehand.

■ So this is the reason why we have, you know, started off the resin manufacturing capacity. It will have some impact, but that will possibly be utilized by us, in the market. It is quite intense in terms of competition, so possibly we will have to spend a little bit more, you know, we will...

■ Brand building efforts might require, you know, more money there. So therefore, you know, that might go there.

Rishi Mody

Got it, got it. Second question I wanted to understand, you know, you mentioned that y'all will have a 4-5% gap on the value-volume numbers.

■ Asian Paints also mentioned the same thing, and the rationale given by both of y'all is that, non-paint products which are lower ASP are growing faster, and economy is growing faster than premium.

■ For Asian, I can understand because a larger portion of their decor paints is premium paints. For us, it's, kind of the reverse, where we are more...

■ Dominant in the economy and the exterior paint segment, and we are making our forays into the premium segment.

■ So, shouldn't, ideally, that gap be much lower for us?

■ Or do you think the demand

■ For premium is not there, or we are missing something in that proposition, hence...

■ Our economy's still gonna grow ahead of premium.

Abhijit Roy

No, no, not... and I explained that, you know, a minute... a few minutes back, you know, as to why this is happening.

■ Our reasons are different, you know, their reasons are quite different. As I said, you know, we have our own reasons why the eastern area did a little bit of underperformance, you know, for our own internal reasons, which we have corrected now.

■ So therefore, you know, that...

■ A growth rate, will be restored, you know, as far as the luxury Mulsen is concerned. Premium Mulsen, in our case, is doing quite well. It's the luxury, which is slightly

below par.

■ The economy immersion, on the other hand, is growing because the category itself is growing. India is a vast country, even for them and for us, you know, whether we are present slightly more in terms of percentage, but they are also equally present there.

■ Both of us are growing because the category is growing at a faster pace, you know. So that's... that's the reason why economy immersion keeps doing better.

Rishi Mody

Got it. And, so final question from my end, it's more on the capital allocation piece. Given that we'll be generating close to 1400, 1500 crores of cash flow from operations over the next couple of years.

■ What amount of that will be used for organic Capex, and what do we plan to do with the remainder? And are we open to doing buybacks?

■ At the, you know, given the current valuations, instead of paying out dividends.

Abhijit Roy

So, you know, we believe that it is a growing country, even though the growth rates have been a bit under the water, you know, for some time now. But we believe that things are going to change. As of now, we have plans for two factories, one in Panagar and one in Orissa.

■ Both of which together is an investment of about 1,800 to 2,000 crore. So, it will absorb the free cash flow that is there. We already have about 900 plus crores in our books, and as you said, you know, about 1400 crore might be generated in the next 2 years.

■ So this will be consumed, a large part of it, in these two new factories which are going to get set up.

■ whatever leftover is there, well, you know, we don't know. As of now, we keep looking at acquisition opportunities, but we don't look at very big

■ Stakes, we look at small stakes, which we can integrate with us, you know, either in terms of new technology, or in new geographies, or

new product lines, which can help us to grow at a faster pace.

Rishi Mody

Got it, sir. Got it. No plans for buyback, though, at this point in time?

Abhijit Roy

Not at this present.

Rishi Mody

Alright, great. Thank you, that's it from my end.

Mohit Dodeja

Thank you. The next question is from the line of Anirudha Joshi. Please go ahead.

Aniruddha Joshi

Yeah, thanks for the opportunity.

■ Sir, while the market growth is slow, the onus to grow is on market leader and even, Berger also. So, what will be our initiatives to innovate, drive growth of the market?

Means, what is really required, like, in terms of higher ad spends, or...

■ Higher expense of the premium products, or...

■ In a way, a little bit price cuts means what is, can really drive the growth of the...

■ premium end of the market, and in a way, premiumization also should be driven from the corporate side as well. So, reducing the gap between premium and economy products, will that serve as the purpose? So, what are the thoughts on,

■ these aspects, that is question number one. And then question number two, the new Challenger player,

■ Had indicated that its, share of voice was more than 30%.

■ So, and the, share of voice of other players had declined materially. So, has there been any change in that now? And,

■ Has the share of voice for, especially Berger, has gone back to its share of market, or probably higher than share of market also? Yeah, that's it from my side. Thanks.

Abhijit Roy

Yeah, so, you know, to answer your first question, Andrew, you know, it is true that, you know, it's incumbent on the major players in the industry to try and shore up demand. You know, there are two major things which can happen, which can help build up demand. You need to create excitement by generating new product ideas, new thoughts.

■ something which is different and, you know, which the consumers want, you know, and we keep looking at innovative product launches. We have been, you know, doing so for some time now, you know, many, many new products which we have introduced.

■ into the market, which later got copied in the industry, and we will continue to do so.

In the near term, we are, you know, we just introduced, you know, two products, three products, actually, you know, Damshield.

■ Color Plus, and the metallic range, all of which are in this premium, super premium category, and with good profit margin, and at the same time.

■ Much in demand in the marketplace.

■ And I think it should do well, you know, so that's one part. The second which you said, you know, what was the other question which you asked?

Aniruddha Joshi

About, share of voice.

Abhijit Roy

share of voice. So, you know, in terms of the advertisement that we do, we are on par with almost, you know, our market share. The player that you spoke about, you know, is much in excess of the market share that they hold, and that's their entry strategy, which they don't have to worry about their profitability.

■ We do, and you know, we are very conscious about it, and we want to remain in the band which we have indicated.

■ our gross margins are to be protected. We can't operate at negative margins and all, you know, so spending money is not, you know, something which anyone can do. If you have to be profitable, then you have to be careful in doing so.

Aniruddha Joshi

Okay, sure, sir. Just last question from myself. You indicated loss of some market share. If you can elaborate a bit more on that, which region we would have lost, east, west, north, south, or rural, urban, metros, which, which, any, any color...

Abhijit Roy

It's a minor share loss, you know. We were at 19.5, 19.6, it would have probably gone down to 19.4. Overall, 0.2% loss.

■ across, you know, various markets, not as if, you know, we have dropped by 2% or something, you know. So, 0.1, 0.2, 0.3 here and there.

■ Some gains, some losses, you know, it depends on the market, and some of it

is, you

know, manpower-driven, our own changes which have happened, you know, so...

■ There is no specific market I can point out, you know, where we are losing sight.

Aniruddha Joshi

Okay, sure, sir. Very helpful, many thanks.

Abhijit Roy

Thank you.

Mohit Dodeja

Thank you. The next question is from the line of Jakumar Doshi. Please go ahead.

Jaykumar Doshi (Kotak)

Hi, Abhijit.

■ Thanks for the opportunity.

■ Just, could you elaborate a little bit on, you know, your comment on competition as stabilizing the new competition?

■ So, one is, you know, whether it is, you know, the dealer penetration, tinting activity, or at dealer-level market share that you may be tracking for some of your key dealers. Is it more or less refer... were you referring to their overall sales number, secondary sales?

■ If there is one, and second is, could you give us some color on what, you know, how have you seen their...

■ You know, trade schemes and rebates, whether that is also stabilizing, or are they intensifying the effort there?

Abhijit Roy

So, the first question, you know... our reading of the situation is that, you know.

■ If you look at the month-on-month sales, sort of, you know, the pressure that we used to feel, you know.

■ that's not increasing, right? You know, so, when we do our tracking of our counters where, you know, they might be present, or new counters where they might be getting in.

■ That also does not indicate any sudden changes happening there in any of the markets. So, I presume that, you know, it's very incremental changes which are happening, which is why I said things are relatively more stable.

■ If you look at, you know,

■ the overall scenario, you know, and when we do track the movements happening in our network, that is what we see, that, you know, we haven't seen any great

■ disruption happening, or great changes happening, in the network. So, that's why I'm saying, and you will get to see that, you know, primary figures also.

■ There will be an improvement sequentially. Quarter 2 was relatively muted for them, and quarter three is a move up from that perspective. But, you know, month on month, it isn't shifting greatly. November and December would be... possibly be at similar levels for them.

Jaykumar Doshi (Kotak)

Understood. And, trade schemes, rebates, any comment?

Abhijit Roy

trade schemes and rebates have been also very stable, you know. In fact, they these days announce, you know, some 3-month schemes and stuff like that. The variations are,

■ limited. There is, aggression which continues. They are already, as you know.

■ much lesser in terms of price compared to competition. They were at 5% discount in DPL itself. Now, they have taken price increase. As you know, they have announced two price increases, you know, totaling to 2 to 2.5% approximately on them. Correct. Some of them are now almost matched in the luxury category.

■ And in the commodity, you know, the differences are still there. So, therefore, the DPL difference has narrowed down. As far as the schemes are concerned, it is still higher, but as I said, stable, you know, not increasing, not doing something disruptive.

Jaykumar Doshi (Kotak)

Very helpful. Last thing, they were late entrant in eastern region. So, you know, even in East, they have not been able to, sort of, you know, penetrate or.

Abhijit Roy

Hello?

Jaykumar Doshi (Kotak)

Yeah, they were late entrant in East,

Abhijit Roy

Right.

Jaykumar Doshi (Kotak)

So, in the eastern region, in West Bengal and Northeast. Also, you're not seeing any increase in activities, very stable there as well.

Abhijit Roy

stable there. You know, it... No major change seen so far.

Jaykumar Doshi (Kotak)

Final one, if I may. Anything you've seen, different on EXO, from EXO, after the announcement of...

Abhijit Roy

things which they have done, you know, one is, of course, you know, some of the price corrections. They used to be at a muc

h higher elevated level in terms of their DPL, etc.

■ They have reduced their prices and matched it to the market rates, you know, so that's one thing which is clearly visible. Obviously, you know, that was, you know, constraining them in terms of their prices being high in the market, so that is something which they have adjusted.

■ They have launched one or two products in the economy category, you know, which they are trying to penetrate, and adding some manpower in the sales team. Beyond that, you know, I think they're a reasonably stable player.

Jaykumar Doshi (Kotak)

So basically, irrational competitive behavior.

Abhijit Roy

That's right, no irrationality is something which is being shown.

Jaykumar Doshi (Kotak)

Perfect. That is very helpful, thank you so much, and wish you the very best.

Abhijit Roy

Right.

Mohit Dodeja

Thank you.

■ The next question is from the line of Anurag Dayal.

■ Please go ahead.

Anurag Dayal

Yeah, hi, so this is Andrag Dyal from Philip Capital. My question is on the industrial paint category. The growth trend has been mixed, while some of the competitors are doing well in this segment. Especially for the protective coating segment, we have not done that well.

■ What is the reason behind it, A? And second, how should we look at the industrial

segment growth going forward? Would... could we return to kind of a double-digit trajectory there in FY27?

Abhijit Roy

Right.

■ No, you're right, you know, so, automotive, we are okay, you know, we could have done slightly better than what we did, you know, but the growth rates were actually there much more in the cars, you know, not so much.

■ In the other categories, we... we...

■ could have registered, say, another 3-4 percentage, but that's about it. In, protective, we could have done better.

■ Our prices are slightly on the higher side, I think. You know, we will have to adjust a little bit, and be more competitive. Our EBITDA margin is much higher than competition.

■ We are the leader in this category. We thought that, you know, we should be able to maintain that price gap, but we may have to adjust a little bit, and the growth rates can be restored.

Anurag Dayal

So, could we expect a double-digit growth trend of next year?

Abhijit Roy

We should be able to do that.

Anurag Dayal

Okay, that's great to know, sir.

■ And secondly, just on the decorative side, Q4, we already had an 8% volume growth this quarter, so it's safe to assume that we would reach a double-digit kind of a 10% in Q4, and maybe maintain a 6% kind of volume-value gap.

Abhijit Roy

Yes, you know, you can... you can think like that.

Anurag Dayal

Thank you, so thank you, that's for my questions.

Mohit Dodeja

As there are no further questions, if we consider that as the last question for the day, I hand over the call to the management for their closing remarks.

Abhijit Roy

Thank you all for coming, taking time out, and reaching here, and

■ Best of luck for the rest of the day. Thank you. Thank you.

Mohit Dodeja

Thank you. On behalf of Emkay Global Financial Services, that concludes this conference.

Thank you all for joining us.